

National Public Radio, Inc. and Subsidiaries

Consolidated Financial Statements,
Supplemental Schedules, and
Independent Auditor's Report
As of and for the years ended
September 30, 2024 and 2023

The report accompanying these financial statements was issued by
BDO USA, P.C. a Virginia professional corporation, and the U.S. member of BDO
International Limited, a UK company limited by guarantee.



National Public Radio, Inc. and Subsidiaries

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National Public Radio, Inc. and Subsidiaries

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Independent Auditor's Report

To the Board of Directors
National Public Radio, Inc. and Subsidiaries
Washington, D.C.

Opinion

We have audited the consolidated financial statements of National Public Radio, Inc. and Subsidiaries ("NPR"), which comprise the consolidated statements of financial position as of September 30, 2024 and 2023, and the related consolidated statements of activities, changes in net assets, functional expenses, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of NPR as of September 30, 2024 and 2023, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS"). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of NPR and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about NPR's ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.



Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of NPR's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about NPR's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter

Supplementary Information

Our audits were performed for the purpose of forming an opinion on the consolidated financial statements as a whole. The National Public Radio, Inc. (Parent Company Only) and NPR Foundation supplemental schedules of financial position and supplemental schedules of activities are presented for the purposes of additional analysis and are not a required part of the consolidated financial statements. Such information is



the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. Such information has been subjected to the auditing procedures applied in the audits of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements as a whole.

BDO USA, P.C.

McLean, Virginia
January 28, 2025

Consolidated Financial Statements

National Public Radio, Inc. and Subsidiaries

Consolidated Statements of Financial Position

<i>September 30,</i>	2024	2023
Assets		
Cash and cash equivalents	\$ 26,753,082	\$ 28,337,386
Restricted cash	2,976,071	3,024,822
Accounts receivable, net of allowance for credit losses of \$3,905,910 and \$3,141,506, respectively	39,037,473	37,927,600
Pledges receivable, net	18,865,592	12,772,718
Investments	523,306,315	477,940,597
Property and equipment, net	189,208,421	193,754,773
Operating lease right-of-use assets	10,988,280	8,389,744
Prepaid expenses and other assets	7,471,406	9,446,187
Goodwill	—	182,301
Total assets	\$ 818,606,640	\$ 771,776,128
Liabilities and Net Assets		
Liabilities		
Accounts payable and accrued expenses	\$ 24,992,199	\$ 16,745,916
Accrued compensation, benefits, and payroll taxes	20,313,118	20,634,414
Acquired programming obligations	3,298,743	2,618,997
Deferred revenue	21,183,405	22,591,029
Accrued interest payable	2,711,717	2,760,952
Other liabilities	2,993,079	2,556,747
Conditional contribution refundable advances	398,172	1,416,564
Operating lease liabilities	12,671,287	10,240,667
Bonds payable	175,060,000	180,820,000
Total liabilities	263,621,720	260,385,286
Commitments and contingencies		
Net assets		
Net assets without donor restrictions:		
Undesignated	51,992,426	46,445,505
Board-designated	103,188,634	94,283,974
Noncontrolling interest	797,359	948,324
Total net assets without donor restrictions	155,978,419	141,677,803
Net assets with donor restrictions	399,006,501	369,713,039
Total net assets	554,984,920	511,390,842
Total liabilities and net assets	\$ 818,606,640	\$ 771,776,128

See accompanying notes to the consolidated financial statements.

National Public Radio, Inc. and Subsidiaries

Consolidated Statements of Activities

<i>Years ended September 30,</i>	2024	2023
Changes in net assets without donor restrictions		
Revenues, gains, and other support		
Revenue from contracts with customers:		
Core and other programming fees	\$ 99,334,706	\$ 96,172,351
Corporate sponsorships	101,830,458	101,049,318
Public Radio Satellite System contract	6,818,440	4,797,352
Satellite interconnection and distribution	7,789,687	7,862,260
Commercial programming distribution	9,888,436	11,542,265
Commissions	2,325,722	2,866,416
Licensing of intellectual property	6,152,824	4,938,749
Event and show ticket sales	3,499,979	4,013,911
Other revenue	2,375,384	2,621,348
Total revenue from contracts with customers	240,015,636	235,863,970
Contributions of cash and other financial assets	39,750,270	26,618,189
Return on investments, net	17,703,837	12,482,110
Contributions of nonfinancial assets	3,515,204	3,252,288
Miscellaneous revenue	1,190,208	1,516,833
Net assets released from donor restrictions	34,429,665	38,945,557
Total revenues, gains, and other support	336,604,820	318,678,947
Expenses and losses		
Program services:		
Content production and distribution	173,507,672	179,572,489
Content support and other activities	37,991,589	36,341,409
Total program services	211,499,261	215,913,898
Supporting services:		
Management and general	62,174,513	61,510,478
Fundraising	7,098,641	6,870,919
Facilities and Information Technology	41,531,789	38,834,390
Total supporting services	110,804,943	107,215,787
Total expenses and losses	322,304,204	323,129,685
Increase (decrease) in net assets without donor restrictions	14,300,616	(4,450,738)
Changes in net assets with donor restrictions		
Contributions of cash and other financial assets	18,242,768	10,969,912
Split-interest agreement contributions	98,275	297,710
Return on investments, net	45,382,084	32,668,399
Net assets released from donor restrictions	(34,429,665)	(38,945,557)
Increase in net assets with donor restrictions	29,293,462	4,990,464
Change in net assets	43,594,078	539,726
Net assets, beginning of year	511,390,842	510,911,316
Minus: Distributions to Noncontrolling interest	—	(60,200)
Net assets, end of year	\$ 554,984,920	\$ 511,390,842

See accompanying notes to the consolidated financial statements.

National Public Radio, Inc. and Subsidiaries

Consolidated Statements of Changes in Net Assets

	Net assets without donor restrictions			Net assets with donor restrictions	
	Parent	Noncontrolling Interest	Total		Total
Net assets, October 1, 2022	\$ 144,984,839	\$ 1,203,902	\$ 146,188,741	\$ 364,722,575	\$ 510,911,316
(Minus) Plus: Change in net assets for the year ended September 30, 2023	(4,255,360)	(195,378)	(4,450,738)	4,990,464	539,726
Minus: Distribution to Noncontrolling interest	—	(60,200)	(60,200)	—	(60,200)
Net assets, September 30, 2023	140,729,479	948,324	141,677,803	369,713,039	511,390,842
Plus (Minus): Change in net assets for the year ended September 30, 2024 ¹	14,451,581	(150,965)	14,300,616	29,293,462	43,594,078
Net assets, September 30, 2024	\$ 155,181,060	\$ 797,359	\$ 155,978,419	\$ 399,006,501	\$ 554,984,920

See accompanying notes to the consolidated financial statements.

¹ No distribution to Noncontrolling interest in 2024

National Public Radio, Inc. and Subsidiaries

Consolidated Statements of Functional Expenses

	Program services			Supporting services				2024
	Content production and distribution	Content support and other activities	Total program services	Management and general	Fundraising	Facilities and Information Technology	Total supporting services	
<i>Year ended September 30,</i>								
Compensation, benefits, and payroll taxes	\$ 121,809,763	\$ 25,860,146	\$ 147,669,909	\$ 38,750,510	\$ 5,113,434	\$ 10,484,548	\$ 54,348,492	\$ 202,018,401
Content acquisition and production	32,422,466	77,781	32,500,247	235,209	29,152	1,365	265,726	32,765,973
Miscellaneous contracted services	2,584,313	7,113,482	9,697,795	8,166,543	355,388	6,266,784	14,788,715	24,486,510
Facility lease, utilities, taxes, property insurance, and related expenses	759,078	—	759,078	1,384,150	—	4,498,406	5,882,556	6,641,634
Connectivity, supplies, postage, and other office expenses	2,464,510	1,046,269	3,510,779	602,717	51,302	1,627,226	2,281,245	5,792,024
Satellite space and equipment	1,207,219	—	1,207,219	—	—	—	—	1,207,219
Repairs and maintenance	1,472,234	519,985	1,992,219	10,786	—	4,888,696	4,899,482	6,891,701
Travel, conferences, meetings, and events	5,504,835	207,544	5,712,379	952,547	440,396	214,523	1,607,466	7,319,845
Marketing	252,806	1,478,299	1,731,105	3,017,157	7,571	1,398	3,026,126	4,757,231
Grants and assistance to third parties	2,832,069	133,197	2,965,266	748,009	847,334	—	1,595,343	4,560,609
Depreciation and amortization	245,952	41,104	287,056	242,146	—	7,873,958	8,116,104	8,403,160
Interest	—	—	—	—	—	5,475,587	5,475,587	5,475,587
Donated goods and services	1,362,653	1,295,317	2,657,970	857,234	—	—	857,234	3,515,204
Other corporate insurance	—	—	—	1,967,183	—	—	1,967,183	1,967,183
Bank and credit card fees	53,666	197,746	251,412	1,272,866	190,447	3,616	1,466,929	1,718,341
Credit loss	154,571	—	154,571	912,772	—	—	912,772	1,067,343
Employee training and recruitment	192,851	1,600	194,451	470,865	2,629	105,928	579,422	773,873
Other	188,686	19,119	207,805	2,583,819	60,988	89,754	2,734,561	2,942,366
Total expenses and losses	\$ 173,507,672	\$ 37,991,589	\$ 211,499,261	\$ 62,174,513	\$ 7,098,641	\$ 41,531,789	\$ 110,804,943	\$ 322,304,204

Continued on the next page

National Public Radio, Inc. and Subsidiaries

Consolidated Statements of Functional Expenses (Continued)

	Program services			Supporting services				2023
	Content production and distribution	Content support and other activities	Total program services	Management and general	Fundraising	Facilities and Information Technology	Total supporting services	
<i>Year ended September 30,</i>								
Compensation, benefits, and payroll taxes	\$ 128,517,317	\$ 23,533,877	\$ 152,051,194	\$ 42,109,530	\$ 4,977,734	\$ 10,648,641	\$ 57,735,905	\$ 209,787,099
Content acquisition and production	32,725,101	55,945	32,781,046	194,488	—	4,077	198,565	32,979,611
Miscellaneous contracted services	4,904,061	6,687,574	11,591,635	6,974,590	610,100	5,093,680	12,678,370	24,270,005
Facility lease, utilities, taxes, property insurance, and related expenses	681,092	—	681,092	1,706,820	—	4,311,197	6,018,017	6,699,109
Connectivity, supplies, postage, and other office expenses	2,352,886	757,794	3,110,680	862,636	47,439	1,772,695	2,682,770	5,793,450
Satellite space and equipment	456,678	—	456,678	—	—	—	—	456,678
Repairs and maintenance	1,279,527	579,022	1,858,549	12,646	—	3,328,787	3,341,433	5,199,982
Travel, conferences, meetings, and events	5,106,932	85,932	5,192,864	887,960	471,461	77,689	1,437,110	6,629,974
Marketing	139,633	2,843,553	2,983,186	1,814,572	12,598	—	1,827,170	4,810,356
Grants and assistance to third parties	1,109,496	212,396	1,321,892	659,391	614,914	—	1,274,305	2,596,197
Depreciation and amortization	303,275	189,021	492,296	258,351	—	7,890,205	8,148,556	8,640,852
Interest	—	—	—	—	—	5,564,719	5,564,719	5,564,719
Donated goods and services	1,307,006	1,279,274	2,586,280	666,008	—	—	666,008	3,252,288
Other corporate insurance	—	—	—	1,988,292	—	—	1,988,292	1,988,292
Bank and credit card fees	44,572	4,507	49,079	1,279,086	54,948	4,105	1,338,139	1,387,218
Credit loss	195,726	—	195,726	1,147,868	—	—	1,147,868	1,343,594
Employee training and recruitment	294,613	1,274	295,887	864,285	10,639	119,301	994,225	1,290,112
Other	154,574	111,240	265,814	83,955	71,086	19,294	174,335	440,149
Total expenses and losses	\$ 179,572,489	\$ 36,341,409	\$ 215,913,898	\$ 61,510,478	\$ 6,870,919	\$ 38,834,390	\$ 107,215,787	\$ 323,129,685

See accompanying notes to the consolidated financial statements.

National Public Radio, Inc. and Subsidiaries

Consolidated Statements of Cash Flows

<i>Years ended September 30,</i>	2024	2023
Cash flows from operating activities		
Change in net assets	\$ 43,594,078	\$ 539,726
Adjustments to reconcile change in net assets to net cash used in operating activities:		
Depreciation and amortization	8,220,859	8,458,572
Amortization of goodwill	182,301	182,280
Change in allowance for credit losses	(764,404)	(1,343,594)
Change in discount on multi-year pledges receivable	(55,804)	(293,730)
Contributed securities	(802,176)	(1,192,788)
Proceeds from sale of contributed securities	802,176	1,192,788
Contributions restricted for investment in perpetual endowment	(2,851,112)	(151,250)
Net realized and unrealized gains on investments	(59,376,136)	(41,148,758)
Investment return restricted for reinvestment	(22,221)	(33,035)
Noncash lease expense	1,448,614	1,155,699
Decrease (increase) in assets:		
Accounts receivable	(345,469)	4,302,596
Pledges receivable	(6,037,070)	3,789,026
Prepaid expenses and other assets	2,384,951	388,528
Increase (decrease) in liabilities:		
Accounts payable and accrued expense	6,571,793	914,842
Accrued compensation, benefits, and payroll taxes	(321,296)	(595,445)
Acquired programming obligations	679,746	(972,395)
Deferred revenue	(1,407,624)	(1,409,365)
Accrued interest payable	(49,235)	(42,815)
Other liabilities	436,332	(352,435)
Conditional contribution refundable advances	(1,018,392)	(839,420)
Operating lease liabilities	(1,616,530)	(1,284,518)
Net cash used in operating activities	(10,346,619)	(28,735,491)
Cash flows from investing activities		
Purchases of investments	(680,779,738)	(450,772,703)
Proceeds from sale and maturities of investments	694,790,156	484,429,910
Purchases of property and equipment	(2,000,017)	(1,438,571)
Net cash provided by investing activities	12,010,401	32,218,636

Continued on the next page

National Public Radio, Inc. and Subsidiaries

Consolidated Statements of Cash Flows (Continued)

<i>Years ended September 30,</i>	2024	2023
Cash flows from financing activities		
Proceeds from contributions restricted for:		
Investment in perpetual endowment	2,851,112	151,250
Investment subject to annuity trust agreements	(410,170)	(616,504)
Other financing activities:		
Investment returns restricted for reinvestment	22,221	33,035
Payments on bonds payable	(5,760,000)	(4,860,000)
Distribution to Noncontrolling interest	—	(60,200)
Net cash used in financing activities	(3,296,837)	(5,352,419)
Change in cash, cash equivalents, and restricted cash	(1,633,055)	(1,869,274)
Cash, cash equivalents, and restricted cash, beginning of year	31,362,208	33,231,482
Cash, cash equivalents, and restricted cash, end of year	\$ 29,729,153	\$ 31,362,208
Supplemental data		
Accrued purchases of property and equipment	\$ 2,434,888	\$ 760,399
Cash paid for interest	\$ 5,524,822	\$ 5,607,457
Cash paid for income taxes	\$ 49,109	\$ 49,269
Cash paid for operating leases	\$ 1,896,644	\$ 1,427,702
Operating lease assets obtained in exchange for new operating lease liabilities—National Public Radio, Inc.	\$ 4,047,150	\$ —

See accompanying notes to the consolidated financial statements.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 1—Description of the Company

National Public Radio, Inc. (“NPR Inc.”), a nonprofit membership corporation incorporated in 1970 following passage of the Public Broadcasting Act of 1967, as amended (see 47 U.S.C. §396; the “Act”), works collaboratively with its member public radio station licensees to create a more informed public, one that is challenged and invigorated by a deeper understanding and appreciation of events, ideas, and cultures. NPR Inc. carries out its mission by producing, acquiring, and distributing noncommercial programming that meets the highest standards of public service in journalism and cultural expression; representing its member stations in matters of mutual interest; and providing satellite interconnection for the entire public radio system.

NPR Inc. is governed by a 23-member Board of Directors (“NPR Inc. Board”), which consists of 12 individual member station managers who are elected by their fellow NPR Inc. members, and 11 other directors. The 11 other directors include NPR Inc.’s President, the Chairperson of the NPR Foundation (“Foundation”) Board of Trustees (“Foundation Board”), and nine prominent members of the public elected by the NPR Inc. Board and confirmed by NPR Inc. members.

Note 2—Summary of Significant Accounting Policies

A. Basis of Presentation—The consolidated financial statements exclude NPR Inc.’s members because those entities are legally and operationally distinct from NPR Inc., and NPR Inc. does not exercise either financial or management control over these entities. Included are the accounts of NPR Inc. and the following wholly owned or controlled entities:

- American Coalition for Public Radio (“ACPR”)—Incorporated in 2017, ACPR supports the educational mission of publicly funded, noncommercial, educational radio stations, networks, and systems (collectively, “Public Radio”). ACPR’s principal activities focus on soliciting and disseminating information about Public Radio through ProtectMyPublicMedia.org and related social media channels. ProtectMyPublicMedia.org and the related social media channels also include selected examples of Public Radio content and encourage the public to share their views about Public Radio publicly and with their elected representatives. ProtectMyPublicMedia.org and the related social media channels are co-owned and co-managed by ACPR and APTS Action, Inc., an organization affiliated with America’s Public Television Stations (“APTS”). ACPR is not affiliated with either APTS or APTS Action, Inc.

ACPR also operates the noncomMUSIC Alliance and the Alliance of Rural Public Media, and it disseminates information through noncommusic.org, ruralpublic.org, and related social media channels. The noncomMUSIC Alliance is a group of Public Radio music stations, musicians, and other organizations dedicated to providing information about the work of Public Radio as an essential component of music discovery, curation, preservation, performance, and community and helping Public Radio music stations serve their communities. The Alliance of Rural Public Media is a group of Public Radio stations that serve rural audiences and seeks to inform lawmakers and audiences about the critical work of rural public radio stations across the country. It aims to secure robust federal funding and promote public policies that ensure that rural public radio stations can continue providing indispensable local news, emergency services, and preservation of local culture through music and other programming.

ACPR is governed by a three-member Board of Directors, which is currently composed of two senior NPR Inc. staff members. and one non-staff member appointed by the Chairperson of the NPR Inc. Board (presently, a former NPR Inc. Board member and current Foundation Board member).

NPR Inc. is ACPR’s principal funder in 2024 and 2023.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

A. Basis of Presentation (Continued)

- Foundation—Incorporated in 1992, the Foundation is a nonprofit supporting organization organized and operated exclusively for the benefit of its sole member, NPR Inc. The Foundation supports NPR Inc. through various activities such as soliciting charitable contributions, conducting fundraising events, and managing an endowment fund for the benefit of NPR Inc.

The Foundation disburses funds it raises and earns on the endowment to NPR Inc. for the operation, promotion, development, capital expansion, and other valid purposes of NPR Inc. subject to donor restrictions.

The Foundation is governed by a board of up to 60 elected Trustees. Additionally, NPR Inc.'s President and the NPR Inc. Board Chairperson are ex-officio Trustees of the Foundation. NPR Inc.'s President and Board Chairperson are also NPR Inc.'s official voting representatives on the Foundation Board. Furthermore, certain provisions of the Foundation's Bylaws may only be amended or repealed by an affirmative vote of NPR Inc., provided such action is authorized, in advance, by a two-thirds vote cast at a duly called meeting and at which a quorum was present, of the NPR Inc. Board.

- NPR Asset Holding Company, Inc. ("NPRAHC")—Incorporated in 2018, NPRAHC is a wholly owned, taxable corporation that holds interests in commercial entities on behalf of NPR Inc. NPRAHC is governed by a three-member Board of Directors ("NPRAHC Board") that is currently composed of two senior staff members from NPR Inc. and one non-staff member (presently, a former NPR Inc. Board member and current Foundation Board member).
- NPR International Operations, Inc. ("NPRIO")—Incorporated in 2021, NPRIO is a nonprofit supporting organization organized and operated exclusively for the benefit of its sole member, NPR Inc. NPRIO supports NPR Inc.'s international newsgathering operations. NPRIO is governed by a three-member Board of Directors, which is currently composed of three senior NPR Inc. staff members.
- National Public Radio Middle East FZ-LLC ("NPR Middle East")—Incorporated in January 2023, NPR Middle East supports NPRIO's international newsgathering operations in Dubai, United Arab Emirates ("Dubai, UAE"). NPRIO and its local General Manager oversee NPR Middle East activities.
- National Public Media LLC ("NPM")—Formed in 2007, NPM secures public broadcasting and digital sponsorship for public radio and television entities and other like-minded entities, including NPR Inc. and certain of NPR's Inc.'s members.

NPM is governed by NPRAHC, WGBH Educational Foundation ("WGBH"), and Public Broadcasting Service ("PBS"). Each member elects a manager, and the three managers collectively comprise the NPM Board of Managers ("NPM Board"). Member capital percentages are 72%, 18%, and 10% for NPRAHC, WGBH, and PBS, respectively, as of September 30, 2024 and 2023. NPRAHC controls NPM's Board due to its majority ownership. Subject to each party's voting rights, WGBH and PBS hold equal positions on the NPM Board. Depending upon the specific nature of a decision, WGBH and/or PBS have selected veto rights over certain material activities as more fully described in the limited liability company formation agreement, as amended.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

A. Basis of Presentation (Continued)

- 1111 JW, LLC (“1111 JW”)—Formed in 2021, 1111 JW produced a podcast that was distributed by NPR Inc. 1111 JW is a single-member limited liability company, and NPRAHC is its sole member. 1111 JW is governed by a three-member Board of Directors, which is currently composed of two senior NPR Inc. staff members who also serve on NPRAHC’s Board and one non-staff member (presently, a former NPR Inc. Board member and current Foundation Board member).
- 1111 Media Enterprises, LLC (“1111 Media Enterprises”)—Formed in 2021, 1111 Media Enterprises will pursue commercial ventures and opportunities to produce, license, distribute content, and otherwise support the activities of NPR Inc. and its member stations. 1111 Media Enterprises is a single-member limited liability company, and NPRAHC is its sole member. 1111 Media Enterprises is governed by a three-member Board of Directors, which is currently composed of two senior NPR Inc. staff members who also serve on NPRAHC’s Board and one non-staff member (presently, a former NPR Inc. Board member and current Foundation Board member).

Unless otherwise noted, management refers to NPR Inc. and the consolidated entities herein as “NPR.” Intercompany accounts and transactions have been eliminated in consolidation.

B. Preparation

Estimates and assumptions—The preparation of the consolidated financial statements and accompanying notes in conformity with U.S. generally accepted accounting principles (“GAAP”) requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues, and expenses during the reporting period as well as the disclosure of contingent assets and liabilities at the date of the consolidated financial statements. Estimates and assumptions used by NPR relate to the valuation of certain investments without readily determinable fair values, the determination of the fair value of certain financial instruments, the calculations of credit losses and the allowance for uncollectible pledges receivable, the determination of discount rates for long-term pledges receivable and lease liabilities, and the determination of the useful lives of depreciable and amortizable assets. Actual results could differ from those estimates.

Changes to fiscal year 2023 comparative financial information—The presentation of expenses in the Consolidated Statements of Activities was changed from a “natural” to a “functional” classification. Certain prior-year amounts in the consolidated financial statements and accompanying notes have been reclassified to conform to the current year presentation. The reclassifications had no impact on previously reported net assets.

Accounting pronouncements adopted—In 2024, management adopted the Financial Accounting Standards Board’s (“FASB”) Accounting Standards Update (“ASU”) 2016-13, *Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments* (“ASU 2016-13”), and the additional ASUs issued to clarify and update the guidance in ASU 2016-13 (collectively, “Accounting Standards Codification [“ASC”] Topic 326”), using the modified retrospective approach. ASC Topic 326 changes the impairment model for most financial assets measured at amortized cost (e.g., loan receivables, trade and certain other receivables), as well as certain other instruments (e.g., off-balance-sheet credit exposures such as loan commitments and financial guarantees), from an incurred-loss model to an expected-loss model.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

B. Preparation (Continued)

Accounting pronouncements adopted (Continued)—The update does not apply to financial assets measured at fair value (e.g., pledges receivable, loans, and receivables between entities under common control). Management’s adoption of ASC Topic 326 did not have a material impact on the fiscal year 2024 consolidated financial statements.

Accounting pronouncements not yet adopted—In October 2021, the FASB issued ASU 2021-08, *Business Combinations (Topic 805): Accounting for Contract Assets and Contract Liabilities from Contracts with Customers*. The update improves the accounting for revenue contracts with customers acquired in a business combination by addressing diversity in practice and inconsistency related to the recognition of an acquired contract liability, as well as payment terms and their effect on subsequent revenue recognized by the acquirer. This update is effective for NPR’s fiscal year 2025.

In June 2022, the FASB issued ASU 2022-03, *Fair Value Measurement (Topic 820): Fair Value Measurement of Equity Securities Subject to Contractual Sale Restrictions*. The update clarifies that a contractual restriction on the sale of an equity security is not considered part of the unit of account of the equity security and, therefore, is not considered in measuring fair value. The update also requires disclosures for equity securities subject to contractual sale restrictions. The update is effective for NPR’s fiscal year 2025.

In December 2023, the FASB issued ASU 2023-09, *Income Taxes (Topic 740): Improvements to Income Tax Disclosures*. The update is intended to improve the transparency of income tax disclosures by requiring consistent categories and greater disaggregation of information in the rate reconciliation, as well as income taxes paid disaggregated by jurisdiction. The update is effective for NPR’s fiscal year 2026.

While management continues to evaluate the potential impact of adopting the above ASUs, management does not anticipate that any will have a material impact on the consolidated financial statements.

C. Basis of Accounting—For financial reporting purposes, and based on the existence or absence of legal or donor-imposed restrictions, NPR classifies resources as follows:

- Net assets without donor restrictions—Resources free of donor-imposed restrictions. All revenues, gains, and losses that donors do not restrict, and all expenses, excluding investment-related expenses, are included in this category. Investment-related expenses are netted against return on investments in the appropriate net asset category. “Board-designated” amounts included in net assets without donor restriction in the Consolidated Statements of Financial Position are:

September 30,	2024	2023
Public Radio Satellite System (“PRSS”) activities (Note 10(G))	\$ 10,139,597	\$ 8,748,983
Liquidity reserves	93,049,037	85,534,991
Total board-designated amounts	\$ 103,188,634	\$ 94,283,974

- Net assets with donor restrictions—Resources subject to donor-imposed restrictions that will be satisfied by the actions of NPR Inc., the Foundation, ACPR or NPRIO or the passage of time. These net assets include donor-restricted endowments, unconditional pledges, and charitable gift annuity split-interest agreements.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

C. Basis of Accounting (Continued)—

- Net assets with donor restrictions (Continued)—Generally, donor-imposed restrictions on the use of these assets permit NPR Inc., the Foundation, ACPR, or NPRI to use all or a portion of the income earned on related investments only for certain general or specific purposes.

D. Fair value measurements—Fair value measurements reflected in the consolidated financial statements represent the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants on the measurement date. GAAP provides a hierarchy that prioritizes the inputs to fair value measurements based on the extent to which inputs to valuation techniques are observable in the marketplace. The hierarchy assigns a higher priority to observable inputs that reflect verifiable information obtained from independent sources and a lower priority to unobservable inputs that reflect NPR's assumptions about how market participants would value an asset or liability based on the best information available. Fair value measurements must maximize the use of observable inputs and minimize the use of unobservable inputs. The three levels of the hierarchy of inputs used to measure fair value are described briefly as follows:

- Level 1—Unadjusted quoted prices in active markets for identical assets or liabilities available at the measurement date.
- Level 2—Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly, at the measurement date. Level 2 also contains investments redeemable on or near the measurement date.
- Level 3—Unobservable inputs for the asset or liability, used in situations in which little or no market activity exists for the asset or liability at the measurement date. Level 3 also includes alternative investments not redeemable near the measurement date.

The categorization of fair value measurements by level of the hierarchy is based upon the lowest level input that is significant to the overall fair value measurement for a given asset or liability. If changes in the inputs used in the fair value measurement of an asset or liability result in a transfer between fair value hierarchies, such transfers are recognized at the end of the reporting period.

E. Cash, cash equivalents, and restricted cash—Cash and cash equivalents include demand deposits in interest and non-interest-bearing liquid investment accounts, as well as in money market accounts with maturities of 90 days or less at the date of acquisition. Cash and cash equivalents that are part of NPR's investment portfolio are included in "Investments" in the Consolidated Statements of Financial Position (see Note 5) because those amounts are not considered available for operating needs. Cash and cash equivalents are carried at cost.

At September 30, 2024 and 2023, NPR had \$25,840,684 and \$27,779,269, respectively, of demand deposits that exceeded the federal deposit insurance limit. Although these funds exceeded the limit, NPR believes there is minimal risk of loss given the strength of the financial institutions in which the deposits are held.

Restricted cash consists of amounts deposited to satisfy interest obligations on NPR Inc.'s bonds payable (see Note 7(A)); a deposit held as collateral for a standby letter of credit on NPM's New York office lease agreement (see Note 10(F)); and demand deposits under the control of the NPR Inc. Board).

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

E. Cash, cash equivalents, and restricted cash (Continued)—The following table provides a reconciliation of cash and cash equivalents, as well as restricted cash, reported within the Consolidated Statements of Financial Position that sum to the total shown in the Consolidated Statements of Cash Flows.

September 30,	2024	2023
Cash and cash equivalents	\$ 26,753,082	\$ 28,337,386
Restricted cash	2,976,071	3,024,822
Total cash, cash equivalents, and restricted cash	\$ 29,729,153	\$ 31,362,208

F. Accounts receivable—Accounts receivable, which represents amounts due to NPR because of NPR's satisfaction of performance obligations, is comprised principally of amounts owed by corporate sponsors, public radio stations for core services and programming, and customers for commissions, and other services provided by NPR.

NPR segments its receivables based on the type of goods and services provided to the customer (e.g., sponsorship acknowledgments, core and programming fees).

NPR estimates current-period credit losses using an adjusted historical loss rate basis. Judgments regarding a specific client's credit risk consider factors such as the counterparty's creditworthiness, knowledge of the specific client's circumstances, and historical collection experience for similar clients. Other factors include but are not limited to, current economic conditions and forward-looking forecasts. Actual experience may vary from estimates. The risk of credit losses is partially mitigated by the short-term nature of NPR's receivables.

NPR records an allowance for credit losses, which represents the estimated aggregate amount of credit risk arising from the inability or unwillingness of specific partners to pay obligations or disputes that may affect NPR's ability to collect its accounts receivable fully. Accounts receivable, net of the allowance for credit losses, represents the amount NPR expects to collect. At each reporting date, NPR adjusts the allowance for expected credit losses to reflect its current estimate.

Adjustments to the allowance for credit losses are included in "Content production and distribution" and "Management and general" in the Consolidated Statements of Activities and separately reported in Consolidated Statements of Functional Expenses.

NPR writes off receivables when information indicates the debtor is facing significant financial difficulty and there is no possibility of recovery. As a matter of policy, NPR recognizes recoveries made from any accounts previously written off in income or as an offset to credit loss expense in the year of recovery.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

F. Accounts receivable (Continued)—The following tables present a segment roll-forward of the allowance for credit losses for 2024 and 2023:

	October 1, 2023, balance	Plus: Provision for expected credit loss	Minus: Write-offs charged against allowance	September 30, 2024, balance
Core and other				
programming fees	\$ (2,343,317)	\$ (454,064)	\$ 47,969	\$ (2,749,412)
Satellite interconnection and distribution	(200,726)	(154,571)	77,627	(277,670)
Corporate sponsorships	(480,485)	(520,387)	143,094	(857,778)
Sound Exchange, studio rental, licensing, and other	(116,978)	61,679	34,249	(21,050)
Total allowance for credit loss	\$ (3,141,506)	\$ (1,067,343)	\$ 302,939	\$ (3,905,910)

	October 1, 2022, balance	Plus: Provision for expected credit loss	Minus: Write-offs charged against allowance	September 30, 2023, balance
Core and other				
programming fees	\$ (1,587,660)	\$ (798,969)	\$ 43,312	\$ (2,343,317)
Satellite interconnection and distribution	(5,000)	(195,726)	—	(200,726)
Corporate sponsorships	(119,621)	(360,864)	—	(480,485)
Sound Exchange, studio rental, licensing, and other	(85,631)	(34,494)	3,147	(116,978)
Total allowance for credit loss	\$ (1,797,912)	\$ (1,390,053)	\$ 46,459	\$ (3,141,506)

G. Pledges receivable—Pledges to be received after one year are discounted to present value. NPR Inc. and the Foundation use discount rates that approximate U.S. Treasury borrowing rates from the fiscal year in which the pledge was received based on the respective duration of the donor's payment plan. Amortization of the discount is recorded as additional contribution revenue.

NPR Inc. and the Foundation record an allowance for uncollectible pledges receivable based on determining the likelihood of collection for each pledge receivable balance considering the age of the receivable and other factors that would impact collection. Uncollectible amounts are written off when all efforts to collect these receivables have been exhausted.

H. Property and equipment—Property and equipment include land, technical equipment and software, building and improvements, office furniture, and vehicles. Property and equipment are stated at cost on the dates of acquisition or, if donated, at fair value on the dates of donation.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

H. Property and equipment (Continued)—NPR Inc. capitalizes property and equipment, excluding software to be sold, leased, or otherwise marketed, with costs aggregating \$1,000 or more. NPR Inc. capitalizes software intended to be sold, leased, or otherwise marketed with costs aggregating \$500,000 or more. Depreciation is computed for all property and equipment except land using the straight-line method over the asset's estimated useful lives. NPR Inc. uses a mid-month convention, and NPM uses a full-month convention. The following table provides the estimated useful lives for each asset class.

Asset Class	Estimated useful lives
Technical equipment	Three to 15 years
Software intended to be sold, leased, or otherwise marketed	Greater of five years or the percentage of the product's current-year revenues to its anticipated future revenues for software
Buildings	10 to 50 years
Building improvements	Shorter of the remaining useful life of the building or the life of the improvement for improvements
Office furniture	Five to eight years
Vehicles	Five years

I. Prepaid expenses and other assets—Prepaid expenses and other assets include:

September 30,	2024	2023
Prepaid expenses	\$ 4,928,138	\$ 7,124,396
Other assets:		
Charitable gift annuity assets (Note 2(M))	1,760,197	1,350,028
Equipment purchased for resale to PRSS customers (Note 10(G))	382,354	395,121
Other assets	400,717	576,642
Total prepaid expenses and other assets	\$ 7,471,406	\$ 9,446,187

Prepaid expenses consist primarily of payments made to third-party vendors before services are performed and prepayments to subgrantees as dictated by the subgrantee agreement. Charitable gift annuity assets are recorded at fair value, and represent assets held for annuitants and state-mandated reserves. Underlying assets in this portfolio include cash and cash equivalents, equity securities, fixed income securities, and real estate investments. Equipment purchased for resale to PRSS customers is accounted for as inventory and carried at the lower of cost or net realizable value (i.e., estimated selling price in the ordinary course of business less the reasonably predictable cost of completion, disposal, and transportation). Item costs are determined using the first-in, first-out method. Other assets consist primarily of travel advances to domestic and foreign correspondents and prepaid refundable deposits on short-term lease agreements.

J. Investment in Podcast Media LLC—NPRAHC was an investor in Podcast Media LLC ("Podcast Media"), a Delaware limited liability company governed by NPRAHC, New York Public Radio, Chicago Public Media, Inc., and BBC Studios Americas, Inc. In December 2020, the member managers agreed to sell *Pocket Casts*, the sole asset of Podcast Media. At that time, NPRAHC concluded that its investment in Podcast Media was impaired and wrote off its investment balance.

In July 2021, Podcast Media consummated a sale of *Pocket Casts* to a third party, and each member of the management received a capital distribution from the sale proceeds. The dissolution of Podcast Media concluded in 2023, and NPRAHC received \$240,504 from the transaction holdback.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

J. Investment in Podcast Media LLC (Continued)—Management recorded this distribution as a gain which is included in “Miscellaneous revenue” in the Consolidated Statements of Activities. The 2023 distribution reduced NPRAHC’s cumulative impairment loss to \$51,082.

K. Goodwill—Goodwill represents the excess of the purchase price over the net amount assigned to identifiable assets acquired and liabilities assumed in the purchase of National Public Broadcasting, Inc. and the formation of NPM in 2007. In 2023, NPR performed a qualitative assessment test to determine if indicators of impairment existed and concluded that no goodwill impairment had occurred as of September 30, 2023. NPR did not perform a qualitative assessment test in 2024, as the remaining balance was fully amortized.

Goodwill, which originally totaled \$1,822,832, is reported in the Consolidated Statements of Financial Position net of accumulated amortization totaling \$1,822,832 and \$1,640,531 as of September 30, 2024 and 2023, respectively.

Amortization expense totaled \$182,301 and \$182,280 in 2024 and 2023, respectively, and is included in “Management and general” in the Consolidated Statements of Activities, and in “Depreciation and amortization” the Consolidated Statements of Functional Expenses.

L. Leases—Leases arise from contractual obligations that convey the right to control the use of identified property, plant, or equipment for a period in exchange for consideration. At the contract’s inception, NPR Inc. and NPM determine if an arrangement contains a lease based on whether there is an identified asset and whether either NPR Inc. or NPM controls the use of the identified asset. NPR Inc. and NPM also determine whether the lease classification is an operating or financing lease at the commencement date.

A right-of-use asset represents NPR Inc.’s or NPM’s right to use an underlying asset. A lease liability represents NPR Inc.’s or NPM’s obligation to make payments during the lease term. Right-of-use assets are recorded and recognized at commencement for the lease liability amount, adjusted for initial direct costs incurred and lease incentives received. Lease liabilities are recorded at the present value of the future lease payments over the lease term at commencement. The implicit rates for NPR Inc.’s and NPM’s leases are not readily determinable; therefore, NPR Inc. and NPM elected to use a risk-free discount rate at the lease commencement date for all its leases.

NPR Inc.’s and NPM’s real estate operating leases typically include non-lease components such as common-area maintenance costs, utilities, and other maintenance costs. NPR Inc. and NPM elected to combine non-lease components with lease payments to calculate lease right-of-use assets and liabilities to the extent that they are fixed or variable based on an index or rate. Non-lease components that are neither fixed nor variable based on an index or rate are expensed as incurred as variable lease payments.

Some NPR Inc. and NPM leases contain options to extend the lease term at prevailing market rates at the time of the renewal. Because management cannot predict the future economic landscape, it is not reasonably certain to exercise the extension options. Therefore, NPR Inc. and NPM use the base, non-cancelable lease term when recognizing the lease assets and liabilities. NPR Inc.’s and NPM’s lease agreements do not contain any material residual value guarantees or material restrictive covenants.

As a matter of policy, NPR Inc. and NPM elected to exclude leases with terms of 12 months or less (“Short-Term”) from the Consolidated Statements of Financial Position. Short-Term lease expense is recognized on a straight-line basis over the expected term of the lease.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

L. Leases (Continued)—NPR Inc. had five and seven Short-Term leases as of September 30, 2024 and 2023, respectively. NPM had one Short-Term lease as of September 30, 2024 and 2023; however, this lease was eliminated upon consolidation because the lessor is NPR Inc.

M. Charitable gift annuity split-interest agreements—Split-interest agreements with donors consist of charitable gift annuities for which NPR Inc. holds the assets. Contribution revenue is recognized when NPR Inc. establishes the donor accounts after recording liabilities for the present value of the estimated future payments to the donors and/or other beneficiaries.

NPR Inc. maintains separate annuitant asset accounts, reserves, and specific investment allocations where required by state laws and statutes. At September 30, 2024 and 2023, NPR Inc. had satisfied all state reserve requirements.

NPR Inc. records charitable gift annuity split-interest agreement liabilities at fair value using the appropriate actuarial rate, adjusted by an annuity adjustment factor, provided in the Internal Revenue Code of 1986, as amended (“Code”) and the 2012 Individual Annuity Reserve Table. Each year, NPR Inc. adjusts the estimated liability to reflect changes in the life expectancy of the donor (or other beneficiary) and amortization of the discount in subsequent periods. This annual estimated liability change is recorded in “Miscellaneous revenue” in the Consolidated Statements of Activities.

At September 30, 2024 and 2023, NPR Inc.’s charitable gift annuity split-interest agreement liabilities totaled \$1,032,537 and \$901,346, respectively. These liabilities are reported in “Other liabilities” in the Consolidated Statements of Financial Position.

N. Deferred revenue—Deferred revenue consists of the following:

September 30,	2024	2023
Prepaid core and programming fees	\$ 18,454,045	\$ 19,573,918
Prepaid corporate sponsorships	868,592	1,120,933
Prepaid satellite interconnection and distribution fees	1,226,536	1,262,137
Other	634,232	634,041
Total deferred revenue	\$ 21,183,405	\$ 22,591,029

Of the 2023 deferred revenue balance, NPR recognized \$21,102,076 (or 93%) as revenue during 2024. Similarly, of the 2022 deferred revenue balance, NPR recognized \$22,625,290 (or 94%) as revenue during 2023. Other changes in deferred revenue resulted from typical timing differences between the satisfaction of performance obligations, payments received, and the number of customers who elected to prepay core and programming fees.

O. Conditional contribution refundable advances—A cash transfer related to a conditional contribution is accounted for as a refundable advance until the condition(s) have either been substantially met or explicitly waived by the donor.

P. Contributions of nonfinancial assets—During 2024 and 2023, contributed nonfinancial assets recognized within the Consolidated Statements of Activities, none of which had donor-imposed restrictions, included:

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

P. Contributions of nonfinancial assets (Continued)

<i>Years ended September 30,</i>	2024	2023
Satellite interconnection and distribution services	\$ 1,362,653	\$ 1,307,006
Subscriptions services	1,295,318	1,279,274
Professional services	550,483	565,458
Health clinic services	306,750	100,550
Contributed nonfinancial assets	\$ 3,515,204	\$ 3,252,288

Satellite interconnection and distribution services consist of standard satellite channel and uplinking services (or for other appropriate and equivalent technology or services as such become available) for three Distribution division noncommercial public radio customers. Subscription services comprise various periodicals and databases to which NPR Inc. has access in support of research activities. Professional services comprise attorneys who advise NPR Inc. on various legal matters. Health clinic services comprise medical support provided in the onsite employee clinic in NPR Inc.'s headquarters facility.

For all services, NPR Inc. valued and reported the contributed services at the estimated fair value based on current rates for similar services (e.g., current hourly attorney rates for similar advice).

NPR Inc. receives other contributed services from volunteers in connection with its operations, which have an uncertain economic benefit. Accordingly, these services do not meet the requirement to be recognized in the Consolidated Statements of Activities.

Q. Functional allocation of expenses—The costs of providing various programs and other activities have been summarized on a functional basis in the Consolidated Statements of Functional Expenses based on departmental classification. "Content production and distribution" represents expenses incurred by NPR Inc.'s News and Information, Programming, Engineering, NPR Music, and Distribution divisions. "Content support and other activities" program services represent expenses incurred by NPR Inc.'s Product Audience Technology, Content Support, Member Partnership, and Consumer Products divisions.

In the Consolidated Statements of Functional Expenses, NPR allocated certain fringe benefit expenses attributable to one or more program or supporting functions. These expenses include accrued vacation, workers compensation insurance premiums, benefits administration services, and other company-wide employee benefits. NPR allocated these expenses based on direct salaries expense.

R. Impairment of long-lived assets—NPR reviews asset carrying amounts whenever events or circumstances indicate that such carrying amounts may not be recoverable. When considered impaired, the asset's carrying amount is reduced through a nonoperating charge to its current fair value. There were no impairment losses in either 2024 or 2023.

S. Income taxes

Tax Status—NPR Inc., the Foundation, and NPRIO are exempt from federal income taxes to the extent provided in Section 501(c)(3) of the Code. ACPR is exempt from federal income taxes to the extent provided in Section 501(c)(4) of the Code. Each organization is liable for income tax on unrelated business activities as described in Section 512 of the Code.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

S. Income taxes (Continued)

Tax Status (Continued)—As stated in Note 2(A), NPR Middle East provides newsgathering services exclusively to NPRIO, a U.S. nonprofit supporting organization. NPR Middle East, which is organized within the Dubai Media City Free Zone, does not provide services to customers or clients in Dubai, UAE; none of its revenue benefits a resident of Dubai, UAE. The Dubai, UAE *Federal Decree-Law No. 60 of 2023 Amending Certain provisions of the Federal Decree-Law No. 47 of 2022 on the Taxation of Corporations and Business* provides that businesses become subject to UAE corporate income tax from the beginning of their first financial year that starts on or after June 1, 2023. Therefore, NPR Middle East will become subject to corporate income tax beginning with its 2024 fiscal year, which runs from January 1st through December 31, 2024. Management believes that NPR Middle East will have deductible expenses that will reduce or completely offset income earned and, therefore, has not recorded a provision for income taxes as of September 30, 2024. Management will file its annual corporate tax return in calendar year 2025.

NPRAHC is a taxable corporation that records current taxes payable or receivable when income becomes taxable using the asset-and-liability method of accounting for deferred income taxes. Deferred tax assets and liabilities are recognized for future tax consequences attributable to differences between the carrying amount of existing assets and liabilities, their tax bases, and operating loss and tax credit carryforwards. Deferred tax assets and liabilities are measured using tax rates expected to apply to taxable income in the years those temporary differences are expected to be recovered or settled. The effect of a change in tax rates on deferred tax assets and liabilities is recognized in revenues, gains, and other support in the period that includes the enactment date.

NPM is treated as a partnership for federal income tax purposes. Each member is, therefore, separately liable for any related taxes thereon. Accordingly, no provision for federal income tax has been made. For federal income tax purposes, the activity of 1111 JW and 1111 Media Enterprises is included in NPRAHC's corporate income tax return as NPRAHC is the single member of each.

NPM, 1111 JW, and 1111 Media Enterprises are liable for income taxes in certain states and local jurisdictions where the companies operate. Accrued state and local income taxes totaled \$10,000 on September 30, 2024, and 2023. The liability applicable to NPM only is included in "Accounts payable and accrued expenses" in the Consolidated Statements of Financial Position.

Net Operating Loss ("NOL") Carryforwards—For the years ended September 30, 2024 and 2023, ACPR, the Foundation, NPR Inc., NPRIO, and NPRAHC had no federal tax expense. Additionally, no material income-related interest or penalties were recorded in either fiscal year. NOL carryforwards for NPR Inc., the Foundation, and NPRAHC are:

<i>September 30,</i>	2024	2023
NPR Inc. ²	\$ 8,668,234	\$ 12,201,946
Foundation ²	\$ 3,832,314	\$ 3,310,820
NPRAHC	\$ 1,652,676	\$ 1,386,540

² Because NPR Inc. and the Foundation file their respective informational returns nearly one year in arrears, the NOL carryforwards below are as of the end of the preceding fiscal year (e.g., in 2024, the NOL carryforward represents the amount as of September 30, 2023).

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

S. Income taxes (Continued)

Net Operating Loss (“NOL”) Carryforwards (Continued)—The NOL carryforwards for NPR Inc., the Foundation, and NPRAHC break down as follows:

September 30, 2024	NPR Inc.	Foundation	NPRAHC
Rolling expiration dates through			
September 30, 2038	\$ 4,993,026	\$ 624,521	\$ —
Indefinite carry forward	\$ 3,675,208	\$ 3,207,793	\$ 1,652,676

September 30, 2023	NPR Inc.	Foundation	NPRAHC
Rolling expiration dates through			
September 30, 2038	\$ 5,355,625	\$ 549,699	\$ —
Indefinite carry forward	\$ 6,846,321	\$ 2,761,121	\$ 1,386,540

As management is uncertain whether it will realize the benefit from its NOLs, the deferred tax assets have a full valuation allowance against the deferred tax assets as of September 30, 2024 and 2023.

Uncertain Tax Positions—The effects of a tax position cannot be recognized in the consolidated financial statements unless it is “more-likely-than-not” to be sustained based solely on its technical merits as of the reporting date. The more-likely-than-not threshold represents a positive assertion by management that NPR is entitled to the economic benefits of a tax position.

If a tax position is not considered more-likely-than-not to be sustained based solely on its technical merits, no benefits of the position are to be recognized. Moreover, the more-likely-than-not threshold must continue to be met in each reporting period to support continued benefit recognition. As of September 30, 2024 and 2023, there were no uncertain tax positions for which a liability should be recorded.

T. Reduction in workforce in 2023—In early 2023, management determined that there would be a significant decline in NPR’s corporate sponsorship revenue due to poor economic conditions, which negatively impacted spending by corporate sponsors. Management believed that the lower levels of corporate spending on sponsorship opportunities would have an impact beyond 2023, given the relative uncertainty in the U.S. economy. In response, management announced a reduction in workforce plan (the “Workforce Reduction Plan”) on February 23, 2023, intended to reduce ongoing operating costs. The Workforce Reduction Plan impacted 93 members of NPR Inc.’s workforce, and four members of NPM’s workforce. Decisions regarding eliminating positions were accomplished according to local law and consultation requirements in certain states.

In connection with the Workforce Reduction Plan, NPR recognized the following expenses in the Consolidated Statements of Activities and Functional Expenses:

September 30, 2024	NPR Inc.	NPM	Total
Separation pay and compensation-related benefits	\$ —	\$ —	\$ —
Postemployment benefits	38,140	—	38,140
Other costs	10	—	10
Total reduction in workforce expenses	\$ 38,150	\$ —	\$ 38,150

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 2—Summary of Significant Accounting Policies (Continued)

T. Reduction in workforce in 2023 (Continued)

<i>September 30, 2023</i>	NPR Inc.	NPM	Total
Separation pay and compensation-related benefits	\$ 4,740,711	\$ 111,108	\$ 4,851,819
Postemployment benefits	594,435	8,015	602,450
Other costs	79,343	—	79,343
Total reduction in workforce expenses	\$ 5,414,489	\$ 119,123	\$ 5,533,612

The following table summarizes the changes in the Workforce Reduction Plan liability, which is included in “Accrued compensation, benefits, and payroll taxes” in the Consolidated Statement of Financial Position:

<i>Workforce Reduction Liability</i>	NPR Inc.	NPM	Total
October 1, 2022	\$ —	\$ —	\$ —
Plus: Expenses incurred	5,414,489	119,123	5,533,612
Minus: Payments	(4,118,154)	(95,078)	(4,213,232)
September 30, 2023, balance	1,296,335	24,045	1,320,380
Plus: Expenses incurred	38,150	—	38,150
Minus: Payments	(1,352,850)	(24,045)	(1,376,895)
Plus: Adjustments	53,041	—	53,041
September 30, 2024, balance	\$ 34,676	\$ —	\$ 34,676

NPR expects to incur \$1,616 in additional charges in 2025 in connection with the reduction in workforce.

U. Contributed Securities—Contributed securities are recorded at fair value as of the contribution date. Gains or losses on sale of contributed securities converted to cash nearly immediately upon receipt are recorded as contribution revenue on the Consolidated Statements of Activities since the contributed securities are not investments but are considered cash flows from operating activities.

V. Subsequent events—NPR evaluated subsequent events from the date of the Consolidated Statements of Financial Position through January 28, 2025, when NPR’s consolidated financial statements were available to be issued. No material subsequent events were identified for either recognition or disclosure in the consolidated financial statements.

Note 3—Revenue Recognition

NPR’s significant revenue recognition policies are outlined below relative to its two primary sources of revenue: contracts with customers and contributions.

A. Contracts with customers—NPR generates revenue from the sale of both services and products. Revenue is recognized when the organization satisfies a performance obligation by transferring a promised good to or performing a service for a customer. The amount of revenue recognized reflects the consideration management expects to receive in exchange for the services or products. Invoices are generally due within 30 days of the invoice date.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 3—Revenue Recognition (Continued)

A. Contracts with customers (Continued)

NPR Inc. and NPM expense incremental costs to obtain a contract (e.g., sales commissions, general and administrative costs not chargeable to a customer, and costs that cannot be assigned to a performance obligation) when incurred because the amortization period would be one year or less. These costs are recorded within “Compensation, benefits, and payroll taxes” and “Miscellaneous contracted services” in the Consolidated Statements of Functional Expenses.

NPR Inc. and NPM do not disclose the value of unsatisfied performance obligations for either contracts with an original expected length of one year or less or contracts for which NPR Inc. and NPM recognize revenue at the amount to which it has the right to invoice for services performed.

Core and other programming fees revenue—Core and other programming fees revenue includes:

<i>Years ended September 30,</i>	2024	2023
Core fees	\$ 79,764,206	\$ 77,407,098
Other programming fees	19,570,500	18,765,253
Total core and other programming fees	\$ 99,334,706	\$ 96,172,351

Core fees are amounts charged by NPR Inc. to members for the general rights of membership, including participation in NPR Inc. governance; representing members on issues affecting public broadcasting; providing access to valuable training and information; providing digital content and marketing, analytics, and other digital services, as well as digital products and training; and licensing the broadcast of *Morning Edition*, *All Things Considered*, *Weekend Edition Saturday*, *Weekend Edition Sunday*, and *Weekend All Things Considered*.

Other programming fees are amounts NPR Inc. charges for the right to broadcast and deliver NPR Inc. distributed programs to listeners.

Management determines core and other programming fees yearly using an agreed-upon formula based on historical station financial and listening data. NPR Inc. recognizes revenue from these revenue sources ratably as services are rendered (e.g., program delivery to the customer) during the period of the customer arrangement, which corresponds to NPR Inc.’s fiscal year. As of September 30, 2024 and 2023, NPR Inc. had no unsatisfied performance obligations related to these services.

Corporate sponsorships—Corporate sponsorships are amounts charged by NPR Inc. for successfully fulfilling its obligations, which occurs when radio sponsorship acknowledgments run, impressions on public broadcasting internet sites are delivered (i.e., the number of times the sponsorship appears in viewed internet pages), or podcasts containing sponsorship credits are downloaded. The amounts charged are calculated based on a contractually agreed-upon rate per acknowledgment, impression, or download.

NPR Inc. has a right to consideration from a customer in an amount that corresponds directly with the value to the customer of performance completed to date; therefore, NPR Inc. has elected the right to invoice practical expedient (i.e., NPR Inc. recognizes corporate sponsorship revenue in an amount to which NPR Inc. has the right to invoice). Corporate sponsorship revenue is reported in the Consolidated Statements of Activities net of third-party agency commissions totaling \$587,962 and \$540,633 in 2024 and 2023, respectively.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 3—Revenue Recognition (Continued)

A. Contracts with customers (Continued)

PRSS contract revenue—NPR Inc.’s Distribution division manages and operates the PRSS through which public radio programming is distributed to interconnected public radio stations. Beginning in 1988, Congress has periodically authorized funds to replace, refurbish, and upgrade the public radio and television satellite interconnection systems. Typically, the authorizing legislation establishes a special fund administered by the Corporation for Public Broadcasting (“CPB”), which contracts with NPR Inc. to carry out the public radio satellite interconnection project. NPR Inc. treats this contract as an exchange transaction.

CPB and NPR Inc. executed a contract effective October 1, 2017 and a no-cost extension in November 2022. Under this contract, CPB committed funds totaling \$28,467,165 from October 1, 2017 through March 31, 2023 (“2017 Contract”). The no-cost extension permitted management time to complete select station and network infrastructure projects.

CPB and NPR Inc. executed a contract effective October 1, 2023. Under this contract, CPB committed funds totaling \$11,866,755 from October 1, 2022 through September 30, 2024 (“2023 Contract”). In 2024, management executed a one-year contract extension with CPB from October 1, 2024 through September 30, 2025. Under this extension, CPB committed additional funds totaling \$4,450,000, which increased the 2023 Contract award to \$16,316,755. For 2024 and 2023, NPR Inc. had no deferred revenue related to the 2017 Contract.

Both contracts function as a cost-reimbursable contract under which NPR Inc. may apply funds received from CPB to the allowable costs of planning, designing, replacing, refurbishing, upgrading, and maintaining the PRSS for the interconnection of the public telecommunications entities participating in the public radio interconnection system, including those public telecommunications entities that in the future may qualify and participate in the PRSS. Such allowable costs include but are not limited to equipment and facilities, maintenance arrangements, insurance, planning, engineering evaluation, software, design, labor, and leases (whether for satellite or terrestrial capacity). NPR Inc. has a right to consideration from CPB in an amount that corresponds directly with the value to CPB of NPR Inc.’s performance completed to date. Accordingly, NPR Inc. recognizes revenue based on permitted costs incurred over time.

Under the 2023 Contract, CPB is not advancing funds to NPR Inc. For 2024, NPR Inc. had no deferred revenue related to the 2023 Contract. The following table provides a breakdown of the revenue recognized by NPR Inc. during 2024 and 2023 under each contract:

<i>Years ended September 30,</i>	2024		2023	
2017 Contract	\$	—	\$	210,740
2023 Contract		6,818,440		4,586,612
Total revenue	\$	6,818,440	\$	4,797,352

There were no unrecognized or undisbursed balances for the 2017 contract in 2024 and 2023. Additionally, there was no receivable related to the 2017 Contract at September 30, 2023, as CPB paid the 2022 receivable during 2023.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 3—Revenue Recognition (Continued)

A. Contracts with customers (Continued)

PRSS contract revenue (Continued)—The following table presents the unrecognized and undisbursed balances for the 2023 Contract:

September 30,		2024		2023
Unrecognized balance	\$	4,969,511	\$	7,337,662
Undisbursed balance	\$	6,564,751	\$	8,724,387

The “Undisbursed balance” in the table above includes a receivable of \$1,595,043 and \$1,386,725 as of September 30, 2024 and 2023, respectively, which is included in “Accounts receivable, net” in the Consolidated Statements of Financial Position. CPB paid the 2024 receivable in fiscal year 2025.

Satellite interconnection and distribution—Satellite interconnection and distribution revenue from contracts with customers includes the following amounts charged by NPR Inc.’s Distribution division:

Years ended September 30,		2024		2023
Interconnection	\$	4,112,434	\$	4,050,110
Distribution		3,404,912		3,774,303
Equipment sales and rentals		26,637		37,847
Other		245,704		—
Total satellite interconnection and distribution	\$	7,789,687	\$	7,862,260

Interconnection fees are amounts charged to public radio stations for connecting to the ContentDepot® Distribution System through which the public radio stations download content. Public radio stations connect via either satellite or the internet.

Distribution fees are amounts charged to customers that utilize microwave frequency bands (KU-band and C-band) for satellite terrestrial reception and transmission. Customers utilizing these services include public radio station producers, independent producers, and commercial companies. NPR Inc.’s Distribution division also offers customers back-up satellite transmission services if the customer’s primary satellite connection is inoperable.

NPR Inc.’s Distribution division management develops the annual interconnection and per megabyte download distribution fee schedule based on historical rates. The schedule is reviewed and approved by the Distribution Committee of the NPR Board annually. NPR Inc. recognizes interconnection and distribution revenue ratably as services are rendered (e.g., customer can access satellite, programming is downloaded by customer). The duration of the underlying customer arrangements is generally a one-year period corresponding with NPR Inc.’s fiscal year. For multi-year distribution arrangements, the monthly fee is fixed for the term of the arrangement.

NPR Inc. has no unsatisfied performance obligations related to the above services as of September 30, 2024 and 2023.

Equipment sales and rentals are amounts charged for either the direct sale or leasing of equipment used by customers to connect to the ContentDepot Distribution System. NPR Inc. recognizes revenue either at the point in time when control of the sold equipment is transferred to the customer (e.g., upon shipment, upon delivery and installation) or over the period when a customer has access to the use of rented functional equipment.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 3—Revenue Recognition (Continued)

A. Contracts with customers (Continued)

Commercial programming distribution—NPR Inc. provides programming to commercial entities for distribution over either the entities branded radio stations or podcast distribution application based on contractually agreed-upon rates. Revenue is recognized ratably over the multi-year contract periods as programming is delivered to the commercial entities in an amount that corresponds to NPR Inc.’s right to invoice.

Commissions—NPM charges customers fees for securing sponsorship placements. These charges, or commissions, are calculated based on a contractually agreed-upon percentage applied to the gross sponsorship amount. NPM, acting as agent for its customers, recognizes revenue when the customer, on whose behalf NPM secured the sponsorship, successfully fulfills its performance obligation. A performance obligation is fulfilled when television and radio sponsorships acknowledgments run, impressions on public broadcasting internet sites are delivered (i.e., the number of times the sponsorship appears in viewed internet pages), or podcasts containing sponsorship credits are downloaded. NPM has a right to consideration from a customer in an amount that corresponds directly with the value to the customer of performance completed to date; and NPM has, therefore, elected the right to invoice practical expedient. NPM recognizes commission revenue in an amount to which NPM has the right to invoice at the point in time each billing cycle ends.

Licensing of intellectual property—NPR Inc. licenses two types of intellectual property (“IP”): IP that has “standalone functionality,” which is called functional IP, and all other IP, which is called symbolic IP. Revenue related to the license of functional IP is generally recognized upon delivery (availability) of the IP to the customer or on an over-time basis, pending the delivery specifications of the contract. The substantial majority of NPR Inc.’s content distribution activities are considered licensing of functional IP. Revenue related to the license of symbolic IP is generally recognized over the term of the license. NPR Inc.’s primary revenue stream derived from symbolic IP is the licensing of trade names. The amount of revenue for each type of IP is based on contractually agreed-upon rates. NPR Inc. has no unsatisfied performance obligations related to the above services as of September 30, 2024 and 2023.

Event and show ticket sales—Ticket revenue is charged by NPR Inc. to individuals attending live events and shows based on market rates. NPR Inc. recognizes revenue at the point in time when either the corresponding show or special event is held.

Other—Other revenue from contracts with customers includes the following:

<i>Years ended September 30,</i>	2024	2023
Airing of program content	\$ 1,032,500	\$ 1,032,500
Inventory sales	11,448	452,602
Public Media Interactive Network	626,099	649,828
Other	705,337	486,418
Total other	\$ 2,375,384	\$ 2,621,348

Detailed information about the revenue recognition policies for the above significant sources follows:

- ***Airing of program content***—NPR Inc. distributes customer content during segments on one of its shows. Revenue is recognized ratably over the multi-year contract period based on contractually agreed-upon rates as content is aired.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 3—Revenue Recognition (Continued)

A. Contracts with customers (Continued)

Other (Continued)—

- **Inventory sales**—Revenue from sales on NPR Inc.’s shopping website is recognized at the point in time when the ordered goods are shipped.
- **Public Media Interactive Network**—During fiscal year 2009, NPM launched the Public Media Interactive (“PMI”) network (“PMI Network”). The PMI Network is NPM’s outsourced digital ad operations service for public media stations that provides a comprehensive suite of services to help efficiently and effectively manage digital advertising sales and operations and increase ad revenue. In 2024 and 2023, 22 and 28, respectively, radio stations and producers participated in the PMI Network. Fees charged by NPM (typically calculated based on a stated percentage applied to the gross sponsorship amount) for selling client’s unsold digital inventory are not recognized until the client, on whose behalf NPM secured the sale, successfully fulfills its performance obligation (e.g., delivers impressions on public broadcasting internet sites, podcasts containing sponsorship credits are downloaded).

NPR Inc. has no unsatisfied performance obligations related to the above services as of September 30, 2024 and 2023.

B. Contributions of cash and other financial assets—NPR Inc., the Foundation, ACPR, and NPRIO receive contributions from individuals, foundations, donor advised funds, and other charitable organizations. Contributions are recognized as revenue, at fair value, on the earlier of the receipt of cash or an unconditional promise to give. Contributions that impose restrictions that are met in the same fiscal year the contribution is received are reported as increases in net assets without donor restrictions.

Expirations of donor restrictions (i.e., the donor-stipulated purpose has been fulfilled and/or the stipulated period has elapsed) in subsequent years are reported as “Net assets released from donor restrictions” in the Consolidated Statements of Activities.

From time to time, NPR Inc., the Foundation, ACPR, and NPRIO may receive contributions that have conditions (e.g., meeting specific performance-related barriers, revocable features). For conditional contributions, NPR Inc., the Foundation, ACPR, and NPRIO recognize revenue only after the conditions are substantially met. Should NPR Inc., the Foundation, ACPR, and NPRIO substantially meet the conditions in the same period that the contribution was received, and barring any further donor-imposed restrictions, NPR Inc., the Foundation, ACPR, and NPRIO have elected to recognize the revenue in net assets without donor restrictions under the simultaneous release option. At September 30, 2024 and 2023, NPR had received conditional promises to give for which it did not yet satisfy the donors’ conditions totaling:

<i>Years ended September 30,</i>	2024	2023
Collaborative journalism network	\$ 48,170	\$ 1,333,927
Investigative journalism	660,000	1,320,000
Digital product development	394,110	870,513
Climate journalism	550,000	—
NPR Network	50,000	—
Total conditional promises to give	\$ 1,702,280	\$ 3,524,440

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 3—Revenue Recognition (Continued)

B. Contributions of cash and other financial assets (continued)—Contributions of assets other than cash are recorded at their estimated fair value on the date of gift. Contributions for the acquisition or construction of property and equipment are released from restrictions in the period in which the assets are placed into service.

Grants awarded by federal agencies are generally considered nonreciprocal transactions restricted by the awarding agency for certain purposes, and revenue is recognized when qualifying expenditures are incurred and conditions under the grant agreements are met. NPR Inc. recorded revenue totaling \$105,000 and \$40,000 in 2024 and 2023, respectively. There were no outstanding performance obligations, unrecognized funds, or unspent federal funds at September 30, 2024 and 2023.

C. Grants and contracts with CPB—CPB is a District of Columbia nonprofit corporation authorized to receive federal appropriations under Title II of the Act. The primary source of funding to CPB is the federal government. CPB is recognized by the IRS as exempt from income taxes under Section 501(c)(3) of the Code except on activities unrelated to its exempt purpose. During 2024 and 2023, NPR Inc. recognized revenue from grants and contracts with CPB totaling:

<i>Years ended September 30,</i>	2024	2023
PRSS contract (see Note 3(A))	\$ 6,818,440	\$ 4,797,352
Competitive grants:		
Satellite interconnection and distribution ³	—	(4,402)
Contributions of cash and other financial assets ³	6,811,905	2,194,546
Total CPB revenue	\$ 13,630,345	\$ 6,987,496

In 2023, management returned \$4,402 of unspent funds to CPB, resulting in the negative “Satellite interconnection and distribution” revenue.

Note 4—Pledges Receivable

Pledges receivable are as follows:

<i>September 30,</i>	2024	2023
Amounts due in:		
Less than one year	\$ 13,201,018	\$ 7,766,406
One to five years	5,738,761	4,724,695
More than five years	460,000	760,000
Subtotal	19,399,779	13,251,101
Minus: Discount to present value (rates range from 0.28% to 5.03%)	(534,187)	(478,383)
Total pledges receivable, net	\$ 18,865,592	\$ 12,772,718

³ Correspond to financial statement captions within the Consolidated Statements of Activities.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 4—Pledges Receivable (Continued)

Management did not record an allowance for doubtful pledges in either 2024 or 2023. Relative to credit risk, the following table provides a breakdown of the number of donors owing \$100,000 or more as of September 30, 2024 and 2023 (percentage of gross pledges receivable shown in parentheses):

<i>September 30,</i>	2024	2023
Owing between \$100,000–\$499,999	11 (14%)	9 (17%)
Owing between \$500,000–\$999,999	4 (13%)	5 (27%)
Owing \$1 million or more	6 (71%)	3 (52%)
Pledges receivable, net	21 (98%)	17 (96%)

NPR Inc. and the Foundation believe each has limited credit risk with respect to these donors, given their relationship with and support of NPR Inc. and its activities. Of the remaining pledges receivable balance, NPR Inc. and the Foundation believe that each has limited credit risk due to the diversity of its customer and donor base and the size of the amounts owed. Additionally, NPR partially mitigates credit risk with respect to pledges receivable through the creation of allowances for uncollectible receivables (when collection is not assured) and the discounting of long-term pledges to present value.

Note 5—Investments

Investments consist almost entirely of the Foundation’s investment portfolio. A smaller portion of the investment assets relates to Board-designated funds for PRSS, liquidity reserves, and working capital funds. The fair value of investments as of year-end consists of the following:

<i>September 30,</i>	2024	2023
Cash and money market funds	\$ 12,940,208	\$ 21,543,600
Fixed income	142,606,335	114,017,038
Equities	284,936,759	260,097,782
Diversifiers	67,193,678	63,550,525
Private real assets	15,629,335	18,731,652
Total investments	\$ 523,306,315	\$ 477,940,597

NPR’s investment classes, described in further detail below, include direct holdings that are generally traditional marketable securities such as fixed income securities, equities, mutual funds, and exchange-traded funds (“ETFs”). Some of these investments are subject to market, credit, currency, and interest rate risks. Because of potential fluctuations in domestic and international markets after year-end, future fair values may differ significantly from the values reported herein. NPR also holds shares or units in institutional funds or partnerships that, where applicable, are stated at net asset value (“NAV”).

- **Cash and money market funds**—Includes cash, cash equivalent securities, overnight sweep funds, and money market funds.
- **Fixed income**—Includes investments in U.S. Treasury and agency debt and credit securities, and funds holding similar securities.
- **Equities**—Includes investments in funds that generally hold interests in U.S. and non-U.S. equity securities, equity-based derivatives, futures, carbon credit assets, and funds that invest predominantly in long and short stocks. Exposure by market varies based on the individual fund manager's strategy.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 5—Investments (Continued)

- **Equities (Continued)**—Includes private equity funds, which can also include venture capital and buyouts, typically have longer periods during which committed capital may be drawn.

NPR's marketable equities investments were redeemable on September 30, 2024 and 2023. Of NPR's investments in private equity, none were redeemable at September 30, 2024 and 2023. Distributions from private equities occur through liquidating the assets underlying the funds over periods defined by each investment fund manager.

- **Diversifiers**—Includes investments in funds whose managers utilize hedged strategies and have the authority to invest domestically and globally in various asset classes at their discretion, including the ability to invest long and short. Funds with hedged strategies generally hold securities or other financial instruments for which a ready market exists and may include equity securities, bonds, debt, collateralized or asset-backed debt, lending, put or call options, swaps, currency hedges, and other instruments, and are valued accordingly. However, some of the investments are in funds whose managers invest in and sell short securities and instruments, including but not limited to (a) merger arbitrage and other forms of arbitrage involving corporate takeovers; (b) investments in companies experiencing financial distress; (c) investments in restructuring companies; (d) direct investments in operating and services businesses; and (e) other investments in securities or instruments that the fund manager believes are either under- or overvalued, or likely to appreciate or depreciate.

Of NPR's investments in multi-strategy diversifiers, \$61,429,114 (99% of holdings) and \$57,727,255 (99% of holdings) of the funds were redeemable at September 30, 2024 and 2023, respectively. Of NPR's investments in opportunistic and credit diversifiers, none was redeemable at September 30, 2024 and 2023. Distributions from opportunistic, credit, and the balance of the multi-strategy diversifiers occur through liquidating the assets underlying the funds over periods defined by each investment fund manager.

- **Private real assets**—Includes investments in funds that generally hold interests in public real estate investment trusts, private real estate or investments, commercial properties or commodities, infrastructure, or oil and gas, normally through commingled funds. Certain liquid commodity- and real estate-related equities, private placement securities, privately held stock, and related derivatives are included. Of NPR's investments in private real assets, none were redeemable at September 30, 2024 and 2023. Distributions from private real asset funds occur through liquidating the assets underlying the funds over periods defined by each investment fund manager.

A. Investment policy—The Investment Committee of the NPR Inc. Board and management implement the Statement of Investment Policy, Objectives, and Guidelines ("Investment Policies") as approved by the NPR Inc. Board and Foundation Board. The Investment Committee comprises individuals from both boards and acts as the controlling body relative to each investment under management. The Investment Committee employs an investment advisor to monitor investment managers and benchmark and evaluate each fund's performance.

Monthly evaluations are prepared for management review, and the results are communicated to the Investment Committee when it meets during the year. Each year, where available and applicable, management reviews the report on internal controls for fund managers and compares each fund's NAV to the fund's audited financial statements. No changes in valuation techniques were noted for these funds during 2024 and 2023.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 5—Investments (Continued)

B. Basis of reporting—Investments are recorded at estimated fair value. The inputs or methodology used for valuing or classifying investments for financial reporting purposes are not necessarily an indication of the risks associated with those investments or a reflection of the liquidity or degree of difficulty in estimating the fair value of each fund’s underlying assets and liabilities. Generally, if an investment is held directly by NPR and an active market with quoted prices exists, an identical security market price is used to report fair value.

NPR’s interests in alternative investment funds are generally reported at either NAV or its equivalent (e.g., partnership interest) reported by the fund managers and assessed as reasonable by NPR.

NPR uses the NAV where possible to estimate the fair value of NPR’s interest unless it is probable that NPR will sell all or a portion of the investment for an amount different than NAV, which, as of September 30, 2023, NPR had no plans or intentions to do.

The following tables, which exclude cash and money market funds of \$12,940,208 for 2024 and \$21,543,600 for 2023, summarize NPR’s investments within the fair value hierarchy and those measured at NAV at September 30, 2024 and 2023:

September 30,	2024 Total	Fair Value Hierarchy			NAV⁴
		Level 1	Level 2	Level 3	
Fixed income	\$ 142,606,335	\$ 142,606,335	\$ —	\$ —	\$ —
Equities	284,936,759	27,502,468	—	19,153,290	238,281,001
Diversifiers	67,193,678	5,822,371	—	1,000,000	60,371,307
Private real assets	15,629,335	—	—	298,800	15,330,535
Totals	\$ 510,366,107	\$ 175,931,174	\$ —	\$ 20,452,090	\$ 313,982,843

September 30,	2023 Total	Fair Value Hierarchy			NAV⁴
		Level 1	Level 2	Level 3	
Fixed income	\$ 114,017,038	\$ 114,017,038	\$ —	\$ —	\$ —
Equities	260,097,782	30,745,493	—	15,855,135	213,497,154
Diversifiers	63,550,525	5,319,037	—	—	58,231,488
Private real assets	18,731,652	—	—	298,801	18,432,851
Totals	\$ 456,396,997	\$ 150,081,568	\$ —	\$ 16,153,936	\$ 290,161,493

Registered mutual funds, ETFs, and directly held fixed income securities are classified in Level 1 based on published share prices. Most investments classified in Level 3 consist of shares or units in non-registered investment funds instead of direct interests in the funds’ underlying securities, which may be readily marketable or not difficult to value. Some investments frequently require the estimation of fair values by fund managers due to the absence of readily determinable market values. Because of the inherent uncertainties of valuation, estimated fair values may differ significantly from those that would have been used had a ready market existed, and the differences could be material.

⁴ Investments that are measured at fair value using NAV have not been classified in the fair value hierarchy. The fair value amounts presented in the “NAV” column are intended to permit reconciliation of the fair value hierarchy to the amounts presented in the Consolidated Statements of Financial Position.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 5—Investments (Continued)

B. Basis of reporting (Continued)—Fund managers determine such valuations and generally consider variables such as operating results, comparable earnings multiples, projected cash flows, recent sales prices, and other pertinent information. They may also reflect discounts for the illiquid nature of certain investments held.

C. Redemption frequency—For all investments with eligible redeemable amounts as of September 30, 2024 and 2023, the redemption frequency and the corresponding notice period are:

Asset Class	Redemption frequency	Redemption notice period
Cash and money market funds	Daily	1 calendar day
Fixed income	Daily	1 calendar day
Equities	Daily, weekly, monthly, quarterly, annually, other (e.g., approval of managing manager)	1 to 90 calendar days, 1 to 150 business days
Diversifiers	Daily, monthly, quarterly	1 to 75 calendar days

NPR's investments in select private equity and venture capital, opportunistic diversifiers, and private real assets are illiquid. The funds may restrict or eliminate redemption rights in the future in accordance with the underlying fund agreement.

Certain investments contain lockup provisions, under which investment tranches are available for redemption after a specified period. If NPR makes a redemption request before the next available withdrawal date in accordance with the notification terms of the agreement, NPR may be required to pay a redemption fee or limit the amount of its withdrawal amount. The lockup restrictions expire and/or may reset over periods defined by each investment fund manager.

D. Level 3 assets activity—The following table presents the activities for NPR's investments classified in Level 3:

Years ended September 30,	2024	2023
Total Level 3 investments, beginning of year	\$ 16,153,936	\$ 14,632,593
Net realized and unrealized gains	1,691,751	430,813
Purchases	2,606,403	1,172,075
Sales	—	(81,545)
Total Level 3 investments, end of year	\$ 20,452,090	\$ 16,153,936

Observable and unobservable inputs may be used to determine the fair value of positions that NPR classifies within Level 3. As a result, the unrealized gains and losses for assets in the table above may include fair value changes attributable to both inputs. The net realized and unrealized gains and losses in the table above are reported in the appropriate net asset class as "Return on investments, net" in the Consolidated Statements of Activities.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 5—Investments (Continued)

D. Level 3 assets activity (Continued)—Quantitative information related to investment assets measured and carried at fair value on a recurring basis using significant unobservable inputs follows:

Description	Fair Value at September 30,		Principal Valuation Technique	Unobservable Inputs	Weighted Average
	2024	2023			
Equities	\$19,153,290	\$15,855,135	Market approach	Values assigned to underlying funds less liabilities	N/A
Diversifiers	\$1,000,000	\$—	Market approach	Values assigned to underlying funds less liabilities	N/A
Private real assets	\$298,800	\$298,801	Market approach	Values assigned to underlying funds less liabilities	N/A

E. Liquidity—Investment liquidity is aggregated below based on redemption or sale period:

September 30,	2024
Daily	\$ 188,871,383
Weekly	30,118,756
Monthly	62,246,425
Quarterly	130,140,270
Annually	26,338,231
Other	10,133,839
Amount considered to be illiquid (includes terminated and liquidating funds)	75,457,411
Total investments	\$ 523,306,315

F. Commitments—Certain private equity, diversifiers, and real asset investments are made through limited partnerships. Under the terms of these agreements, the Foundation is obligated to remit additional funding periodically as the manager exercises capital calls. These partnerships have a limited existence, and such agreements may provide annual extensions to dispose of portfolio positions and return capital to investors. However, depending on market conditions, the inability to execute the fund's strategy, and other factors, a manager may extend the terms of a fund beyond its originally anticipated existence or prematurely wind down the fund. As a result, the timing and amount of future capital liquidity calls expected to be exercised in any future year are uncertain. Unfunded commitments will be funded by cash available in the investment portfolio or by liquidating other investments based on management's assessment.

As of September 30, 2024, the aggregate unfunded commitments totaled \$44,225,731 and is comprised of:

September 30, 2024	Reported at NAV	Level 3	Total
Equities	\$ 16,375,929	\$ 8,237,432	\$ 24,613,361
Diversifiers	8,267,554	9,000,000	17,267,554
Private real assets	2,344,816	—	2,344,816
Total commitments and recallable capital	\$ 26,988,299	\$ 17,237,432	\$ 44,225,731

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 5—Investments (Continued)

F. Commitments (Continued)—As of September 30, 2023, the aggregate unfunded commitments and recallable capital totaled \$35,251,845, and are broken down as follows:

September 30, 2023	Reported at NAV	Level 3	Total
Equities	\$ 19,764,704	\$ 9,356,797	\$ 29,121,501
Diversifiers	3,267,554	—	3,267,554
Private real assets	2,862,790	—	2,862,790
Total commitments and recallable capital	\$ 25,895,048	\$ 9,356,797	\$ 35,251,845

Note 6—Property and Equipment

Property and equipment is summarized below:

September 30,	2024	2023
Land	\$ 55,753,066	\$ 55,753,066
Technical equipment and software	67,060,584	63,725,775
Building and improvements	156,608,074	156,270,384
Office furniture	9,564,375	9,562,366
Vehicles	32,060	32,060
Total property and equipment	289,018,159	285,343,651
Minus: Accumulated depreciation and amortization	(99,809,738)	(91,588,878)
Property and equipment, net	\$ 189,208,421	\$ 193,754,773

In April 2013, NPR Inc. completed construction and occupied its new headquarters building. During the construction of the headquarters building, NPR Inc. capitalized interest totaling \$25,146,322. NPR Inc. is amortizing this interest over the life of the building. In 2024 and 2023, the amortization of capitalized interest was \$502,926 and is included in “Depreciation and amortization” in the Consolidated Statements of Functional Expenses. The unamortized balance of capitalized interest is \$19,383,626 as of September 30, 2024, and \$19,886,552 as of September 30, 2023.

Note 7—Debt

A. Bonds payable—NPR Inc. financed the construction of its current headquarters building using the *District of Columbia Revenue Bonds (National Public Radio, Inc. Issue) Series 2010* totaling \$162,125,000 (“Series 2010 Bonds”).

Advance Refunding History—NPR Inc. completed two advance refundings, which affected portions of the Series 2010 Bonds. The first occurred in 2013⁵ and the second occurred in 2016⁶. Proceeds from the 2013 and 2016 bonds were deposited into irrevocable defeasance accounts and provided for all future debt service on the refunded portions of the Series 2010 Bonds. NPR Inc. continued to make debt service payments until the unrefunded Series 2010 Bonds matured on April 1, 2020.

⁵ District of Columbia Refunding Revenue Bonds (National Public Radio, Inc. Issue) Series 2013, \$87,430,000

⁶ District of Columbia Refunding Revenues Bonds (National Public Radio, Inc. Issue) Series 2016, \$70,075,000

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 7—Debt

A. Bonds payable (Continued)

Advance Refunding History (Continued)—In 2020, NPR Inc. completed an advance refunding of the outstanding 2013 and 2016 bonds when the District of Columbia issued *District of Columbia Revenue Refunding Bonds (National Public Radio, Inc. Issue) Series 2020 (Taxable)* totaling \$188,290,000 (“Series 2020 Bonds”). The proceeds of the Series 2020 Bonds were deposited into an irrevocable defeasance account to provide for all future debt service on the 2013 and 2016 bonds.

Series 2020 Bonds—The serial portion of the Series 2020 Bonds has maturities ranging from April 1, 2022, through April 1, 2035, and the term portion has maturities ranging from April 1, 2042, through April 1, 2047. The Series 2020 Bonds bear interest at fixed rates from 1.438% to 3.532%, payable semi-annually (due each October 1st and April 1st). In 2024 and 2023, interest expense on the Series 2020 Bonds totaled \$5,475,587 and \$5,564,719 and is included in “Interest” in the Consolidated Statements of Functional Expenses.

NPR Inc., in its sole discretion, may redeem all or a portion of the Series 2020 Bonds before maturity. The make-whole redemption price (“Make-Whole Price”) is defined in the Indenture of Trust dated July 1, 2020 (“Indenture”). The Make-Whole Price is the greater of the principal amount to be redeemed or the net present value of the remaining scheduled payments of principal and interest, discounted by the then applicable United States Treasury Rate for similar maturity periods, plus varying basis points as provided for in the Indenture.

Bond proceeds financed issuance costs related to the Series 2020 Bonds, which were issued at par.

The Series 2020 Bonds contain nonfinancial covenants with which NPR Inc. complied in 2024.

Maturities of the Series 2020 Bonds were as follows at September 30, 2024:

	Total
2025	\$ 5,860,000
2026	5,965,000
2027	6,090,000
2028	6,235,000
2029	6,380,000
Thereafter	144,530,000
Total bonds payable	\$ 175,060,000

B. Lines of Credit—In October 2021, NPR Inc. established an unsecured revolving line of credit of \$50 million (“October 2021 Line”) with Truist Bank to support working capital or general corporate uses. The October 2021 Line accrues interest at a rate equal to the daily Secured Overnight Financing Rate plus 1.15% and contains nonfinancial covenants with which NPR Inc. complied in 2024. During 2024 and 2023, NPR Inc. did not make any draws under the line of credit and, as a result, had no interest expense. No balance was outstanding on this credit facility as of September 30, 2024 and 2023.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 7—Debt (Continued)

B. Lines of Credit (Continued)—The October 2021 Line was due to expire on October 15, 2023. NPR Inc. and Truist Bank extended it for an additional 90 days to permit NPR Inc. and Truist Bank the opportunity to negotiate a multi-year renewal. NPR Inc. and Truist Bank executed the multi-year line of credit on December 19, 2023 (“December 2023 Line”). Between October 1, 2023 and December 19, 2023, NPR Inc. did not make any draws under the extended October 2021 Line. The December 2023 Line accrues interest at a rate equal to the one-month tenor Secured Overnight Financing Rate plus 1.40% (6.72% for the September 2024 Interest Period) and contains nonfinancial covenants with which NPR Inc. must comply. Any amounts borrowed are due by or on December 19, 2025. There was no balance outstanding on this credit facility as of September 30, 2024.

Note 8—Retirement Plan

NPR Inc. offers a defined contribution plan under Section 403(b) of the Code for its administrative and union employees (“NPR Plan”). Under the NPR Plan, NPR Inc. contributes a percentage of the base compensation of each properly enrolled employee who has completed two years of qualified service with NPR Inc. For the years ended September 30, 2024 and 2023, NPR Inc. made contributions to the NPR Plan of \$8,007,874 and \$7,433,878, respectively.

NPM offers a savings plan under Section 401(k) of the Code for its employees (“NPM Plan”). Participants may voluntarily contribute and defer a portion of their wages up to the maximum amount allowable. NPM, at the discretion of the NPM Board, may make contributions on behalf of employees who have completed one year of qualified service with NPM. For the years ended September 30, 2024 and 2023, NPM made contributions to the NPM Plan of \$298,982 and \$575,861, respectively.

Note 9—Leases

NPR Inc. and NPM have non-cancelable lease arrangements for corporate facilities that expire at various dates ranging from fiscal year 2025 to fiscal year 2032. NPR Inc. and NPM do not have any leases classified as finance leases and do not have any material office space subleases.

Rental payments under these leases include base rental amounts for the terms of each lease unless the lease contains variable costs (e.g., utilities, real estate taxes, operating expenses such as janitorial and common area maintenance, water, and insurance) based on an index or rate. If a lease does include indexed or variable costs at a specific rate, NPR Inc. and NPM include those costs as part of operating lease expense. Other leases contain variable costs for expenses that are not based on an index or rate. These variable lease payments are determined based on actual expenses incurred by the lessor and passed to either NPR Inc. or NPM periodically. NPR Inc. and NPM expense these non-lease components as incurred.

For leases that contain an option to extend for an additional period, management evaluated whether it is reasonably certain that NPR Inc. or NPM would, in fact, extend the lease. If NPR Inc. or NPM was not reasonably certain that a lease would be extended, the additional term was not included in the determination of the lease liability and right-of-use asset. If NPR Inc. or NPM was reasonably certain that a lease would be extended, the additional term was included in the determination of the lease liability and right-of-use asset.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 9—Leases (Continued)

Operating, variable, and short-term lease expense for the years ended September 30, 2024 and 2023, which is included in “Content production and distribution” in the Consolidated Statements of Activities and in “Facility lease, utilities, taxes, property insurance, and related expenses” and “Satellite space and equipment” in the Consolidated Statements of Functional Expense was:

<i>Year ended September 30, 2024</i>	NPR Inc.		NPM		Total
Operating lease expense ⁷	\$	1,184,353	\$	430,106	\$ 1,614,459
Variable lease expense		555,636		39,938	595,574
Short-term lease expense		1,016,438		—	1,016,438
Total lease expense	\$	2,756,427	\$	470,044	\$ 3,226,471

<i>Year ended September 30, 2023</i>	NPR Inc.		NPM		Total
Operating lease expense	\$	861,968	\$	436,704	\$ 1,298,672
Variable lease expense		524,933		26,695	551,628
Short-term lease expense ⁷		1,346,487		—	1,346,487
Total lease expense	\$	2,733,388	\$	463,399	\$ 3,196,787

The weighted-average remaining lease term and discount rate related to lease liabilities were:

<i>September 30,</i>	NPR Inc.		NPM	
	2024	2023	2024	2023
Weighted-average remaining lease term	5.3 years	7.3 years	8 years	9 years
Weighted-average discount rate	2.7%	1.3%	1.4%	1.4%

Aggregate remaining maturities of lease liabilities as of September 30, 2024, are as follows:

	NPR Inc.		NPM		Total
2025	\$	2,189,307	\$	433,579	\$ 2,622,886
2026		1,948,235		444,455	2,392,690
2027		1,689,803		458,530	2,148,333
2028		1,508,900		502,225	2,011,125
2029		736,907		514,820	1,251,727
Thereafter		1,436,084		1,575,960	3,012,044
Total operating lease payments		9,509,236		3,929,569	13,438,805
Minus: Imputed interest		(545,050)		(222,468)	(767,518)
Total operating lease liabilities	\$	8,964,186	\$	3,707,101	\$ 12,671,287

As of September 30, 2024, NPR Inc. has \$1,508,169 of future payments under an additional corporate office lease that has not yet commenced. The lease will commence in April 2025 and has a lease term of five years and nine months.

⁷ See Note 10(G) for information about the PRSS satellite transponder capacity lease.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 10—Commitments and Contingencies

A. Concentration of employees covered by Collective Bargaining Agreements (“CBA”)—At the end of 2024 and 2023, approximately 60% and 50% of NPR Inc.’s active employees were members of either the National Association of Broadcast Employees and Technicians union, Communications Workers of America (“NABET–CWA”) or the Screen Actors Guild–American Federation of Television and Radio Artists, Washington-Baltimore union (“SAG–AFTRA”), respectively. The CBA between NPR Inc. and SAG–AFTRA continues through July 30, 2025. The CBA between NPR Inc. and NABET–CWA covering audio engineers and technicians continues through March 31, 2025. The CBA between NPR Inc. and NABET–CWA covering employees on the Newsflex, Digital Media, Audience Growth, and Communications teams, ratified on November 9, 2023, continues through November 8, 2026.

B. Audits of costs incurred under select foundation and all government grants—Costs incurred under select foundation and all government grants are subject to audit. No audits occurred during 2024 and 2023. The ultimate liability, if any, from future audits is not expected to have a material adverse effect on NPR’s financial position.

C. Litigation—NPR Inc. is subject to various legal claims and contingencies arising in the ordinary course of NPR Inc.’s business. NPR Inc.’s exposure is generally limited through insurance coverage. While the outcomes of such matters are uncertain, management believes that their ultimate resolution will not have a material adverse effect on NPR Inc.’s financial position.

D. News personal services contracts and employment agreements—At September 30, 2024, NPR Inc. has personal services contracts and employment agreements (collectively, “Contract and Employment Agreements”) with news bureau chiefs, correspondents (domestic and international), editors, hosts, newscasters, producers, and reporters. Contract and Employment Agreements with fixed termination dates expire at various times through fiscal year 2026. On September 30, 2024, NPR Inc. has 57 (50 in 2023) Contract and Employment Agreements, which continue perpetually until terminated.

E. Indemnification—From time to time, NPR Inc. enters into agreements for the acquisition or sale (including licensing) of goods or services in which NPR Inc. agrees to indemnify the other party. During 2024 and 2023, NPR Inc. had no losses because of its indemnification obligations. Additionally, NPR Inc. is unaware of any material liability arising from its indemnification obligations as of September 30, 2024.

F. Letters of credit—NPR Inc. has entered into three irrevocable, transferable standby-letter-of-credit agreements. Two agreements relate to NPR Inc.’s New York Bureau office space and total \$149,804 and \$64,766. The third agreement relates to NPR Inc.’s Chicago Bureau office space and totals \$100,000. NPM has entered into a standby letter of credit agreement for its New York office totaling \$164,625. Since inception, there has been no activity on any letter of credit through September 30, 2024 and 2023. Therefore, there is no balance outstanding as of either date.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 10—Commitments and Contingencies (Continued)

G. PRSS—The PRSS comprises a lease of satellite transponder capacity and ground equipment. The satellite transponders leasehold rights and the ground equipment not owned by individual interconnected stations are owned by The Public Radio Satellite Interconnection System Charitable Trust (“Trust”), created on July 16, 1990. The original Trust agreement was amended and restated on October 27, 2000, and again on May 13, 2014. The Trust is a qualified tax-exempt charitable trust that holds title to the leased satellite transponder capacity and purchased satellite equipment in trust for the benefit of interconnected public radio stations. The power and duties to administer the Trust are vested in three trustees duly elected by qualified interconnected stations. However, certain actions contemplated by the Trust agreement require a majority vote of the qualified interconnected stations.

Since its inception, the Trust has executed various agreements with NPR Inc. to lease or sublease its assets to NPR Inc. These agreements, under which NPR Inc. operates the PRSS, include leases for satellite transponder capacity and ground equipment not owned by individual interconnected stations. While the various agreements do not require NPR Inc. to make lease payments to the Trust, NPR Inc. is responsible for maintaining and repairing the ground equipment not owned by individual interconnected stations. The Trust lease covering the ground equipment automatically renews each year. The leases may be terminated, without cause, by a majority vote of the qualified interconnected stations at any time with 24 months’ notice. In the event of default by NPR Inc., the leases may be terminated after the conclusion of the specified cure period provided in the Trust lease by a majority vote of the Trust trustees.

On October 27, 2000, the Trust and NPR Inc. executed a new transponder sublease agreement for satellite transponder capacity on the Galaxy IVR satellite (since replaced by the Galaxy XVI satellite). The transponder sublease’s term parallels the transponder lease’s terms with the satellite’s owner, Intelsat. In 2023, NPR Inc. extended the term of its contract with Intelsat through June 30, 2024. In 2024, NPR Inc. extended two agreements with Intelsat to lease different types of capacity on the transponder. These lease agreements were executed through June 30, 2026, and June 30, 2028. As a result, two right-of-use assets totaling \$4,047,150 were recognized and included in “Operating lease right-of-use asset” in the Consolidated Statements of Financial Position. Additionally, two lease liabilities totaling \$4,047,150 were recognized and included in “Operating lease liabilities” in the Consolidated Statements of Financial Position.

H. Foreign correspondents—Foreign correspondents support NPR Inc.’s mission by reporting on the most important stories happening across the globe. NPR Inc. operates international bureaus around the world. In the ordinary course of NPR Inc.’s international activities, NPR Inc. and its foreign correspondents must comply with various immigration, foreign corporate tax presence, and domestic and international payroll and employment laws and regulations. Tax costs incurred by NPR Inc. are subject to review and adjustment by the respective taxing jurisdictions.

I. Deferred employer social security payments—NPR elected to defer the deposit and payment of the employer’s share of social security tax under the Coronavirus Aid, Relief, and Economic Security (CARES) Act (“CARES Act”), which began on March 27, 2020 and ended on December 31, 2020. Under the terms of the CARES Act, 50% of the deferral was payable on December 31, 2021, and the remaining balance is payable on December 31, 2022. NPR Inc. and NPM paid their remaining obligations of \$2,641,306 in November 2022 and \$108,708 in December 2022, respectively. The employer’s share of social security tax payments deferred as of September 30, 2023, totaled \$2,750,014 and was included in “Accrued compensation, benefits, and payroll taxes” in the Consolidated Statements of Financial Position. There was no remaining balance as of September 30, 2024.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 11—Net Assets with Donor Restrictions

Net assets with donor restrictions are restricted for the following purposes or periods:

September 30,	2024	2023
Subject to expenditure for specific purposes:		
Donor-restricted gifts for a specified purpose (e.g., journalism, programming)	\$ 19,596,563	\$ 13,369,914
Current-year distribution from endowment not yet available for use	1,500,000	—
Prior-year distributions from endowment not yet available for use	2,607,466	5,207,466
Total subject to expenditure for specific purposes	23,704,029	18,577,380
Subject to the passage of time—For periods after fiscal year-end	5,868,089	8,289,298
Subject to when a specified event occurs—Charitable gift annuities	640,406	588,548
Subject to NPR's distribution policy and appropriation ⁸ :		
Donor-restricted endowment corpus amounts	219,230,952	216,357,618
Accumulated investment earnings on endowments	149,563,025	125,900,195
Total subject to NPR's distribution policy and appropriation	368,793,977	342,257,813
Total net assets with donor restrictions	\$ 399,006,501	\$ 369,713,039

Net assets were released from donor restrictions by incurring expenses satisfying the restricted purpose, by the occurrence of the passage of time, or by other events specified by the donors as follows:

Years ended September 30,	2024	2023
Expiration of time restrictions	\$ 3,832,125	\$ 1,999,525
Specific event	46,418	—
Satisfaction of purpose restrictions:		
Content (e.g., News and information, Programming)	7,627,458	10,262,768
Distribution	—	286,732
Other	380,998	2,753,357
Subtotal satisfaction of purpose restrictions	8,008,456	13,302,857
Restricted-purpose endowment distribution:		
NPR's general mission and operations	18,896,873	18,609,088
Journalistic excellence	3,349,416	1,806,952
Digital innovations/new technologies	104,960	3,080,666
Cultural journalism	106,951	81,521
Jazz journalism and programming	61,962	47,607
Operation of NPR facilities	16,321	12,590
Science journalism	6,183	4,751
Subtotal restricted-purpose endowment distribution	22,542,666	23,643,175
Total net assets released from donor restrictions	\$ 34,429,665	\$ 38,945,557

⁸ See Note 12 for a discussion of NPR's Endowment.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 11—Net Assets with Donor Restrictions (Continued)

The difference of \$10,576,522 between the fiscal year 2023 “Restricted-purpose endowment distribution” and the “Appropriated for distribution” amount in Note 12(E) was due to the partial release of previously deferred special distributions. NPR released this balance in 2024.

“Content” includes activities related to NPR’s journalism, including journalistic collaborations with members (e.g., coverage such as criminal justice, diversity, education, elections, energy and the environment, global health and development, and religion); news desks and bureaus (e.g., Arts desk, Education desk, International desk, Investigative reporting desk); safety and security of NPR’s journalists; NPR Music, NPR’s Tiny Desk, and the production and acquisition of programs such as *Jazz Night in America*, and *Code Switch*. “Distribution” includes activities NPR’s Distribution division performs, such as digital emergency alerting for hurricane activity in Gulf states. “Other” primarily includes NPR’s general operating activities.

Note 12—Endowment

At September 30, 2024 and 2023, NPR’s endowment consisted of 168 and 161 funds, respectively, established by donors for a variety of purposes including:

<i>September 30,</i>	Donor- restricted corpus amount	Accumulated investment earnings	2024
NPR’s general mission and operations	\$ 198,766,018	\$ 142,589,970	\$ 341,355,988
Journalistic excellence	12,265,955	4,219,384	16,485,339
Digital innovations/new technologies	1,500,000	808,046	2,308,046
Cultural journalism	3,161,285	1,150,856	4,312,141
Jazz journalism and programming	1,000,000	380,059	1,380,059
Operation of NPR facilities	250,000	108,125	358,125
Science journalism	1,453,204	121,415	1,574,619
Cultural internships	834,385	185,170	1,019,555
Endowment contributions not yet deposited into the investment account	105	—	105
Total endowment net assets	\$ 219,230,952	\$ 149,563,025	\$ 368,793,977

<i>September 30,</i>	Donor- restricted corpus amount	Accumulated investment earnings	2023
NPR’s general mission and operations	\$ 198,761,685	\$ 120,787,523	\$ 319,549,208
Journalistic excellence	12,265,955	3,151,008	15,416,963
Digital innovations/new technologies	1,500,000	658,513	2,158,513
Cultural journalism	1,695,860	851,751	2,547,611
Jazz journalism and programming	1,000,000	274,380	1,274,380
Operation of NPR facilities	250,000	84,967	334,967
Science journalism	100,000	27,172	127,172
Cultural internships	782,960	64,881	847,841
Endowment contributions not yet deposited into the investment account	1,158	—	1,158
Total endowment net assets	\$ 216,357,618	\$ 125,900,195	\$ 342,257,813

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 12—Endowment (Continued)

A. Interpretation of Relevant Law—The NPR Inc. Board requires the preservation of the corpus (historic dollar value) of donor-restricted endowment funds absent explicit donor stipulations to the contrary. NPR, therefore, classifies the following as net assets with donor restrictions: the original value of gifts donated to the endowment, the original value of subsequent gifts to the endowment, and accumulations to the endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the endowment. Appreciation of donor-restricted endowment funds is classified as net assets with donor restrictions until those amounts are approved for distribution by the Foundation Board.

A distribution is determined consistent with the standard of prudence prescribed by the District of Columbia Uniform Prudent Management of Institutional Funds Act (“UPMIFA”), which is incorporated into NPR’s Investment Policies. The prudence standard considers the duration and preservation of the endowment funds, the purposes of NPR and the endowment funds, general economic conditions, the possible effect of inflation or deflation, the expected total return from income, and the appreciation of investments. The amounts appropriated for expenditure are based on the endowment distribution policy.

B. Distribution Policy—NPR utilizes the total return concept (income yield and appreciation) to manage its endowment. NPR’s distribution policy is designed to stabilize the annual spending levels and preserve the endowment’s real value over time. In accordance with NPR’s policy, a predetermined endowment-distribution rate consistent with NPR’s total return objective has been established and approved by the NPR Inc. Board. The distribution rate is 4% of the average March 31st fair value of investments for the preceding 12 fiscal quarters. This amount is included in “Net assets released from donor restrictions” in the Consolidated Statements of Activities.

C. Return Objectives and Risk Parameters—Under NPR’s Investment Policies, NPR invests its endowment assets in a manner that is intended to produce an average real rate of return that exceeds the 4% distribution rate over the long term and provides a predictable stream of funding to programs and operations supported by the endowment assets. Actual returns in any given year may vary from this amount.

D. Funds with Deficiencies—Occasionally, certain donor-restricted endowment funds may have fair values less than the amount required to be maintained by donors or by law (“Underwater Endowment Funds”). NPR has interpreted UPMIFA to permit spending from Underwater Endowment Funds in accordance with prudent measures required under law. Underwater Endowment Funds, if any, are reported in net assets with donor restrictions. At September 30, 2024, NPR had no Underwater Endowment Funds. At September 30, 2023, NPR had 77 Underwater Endowment Funds, which had corpus totaling \$112,435 and fair value of \$111,916, resulting in a deficit of \$519.

E. Changes in endowment—Changes in the endowment were as follows:

<i>Years ended September 30,</i>	2024	2023
Endowment balance, beginning of year	\$ 342,257,813	\$ 322,673,461
Return on investments, net	45,105,497	32,466,720
Appropriated for distribution	(21,442,666)	(13,066,653)
Contributions	2,851,112	151,250
Purchasing power addition	22,221	33,035
Endowment balance, end of year	\$ 368,793,977	\$ 342,257,813

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 13—Noncontrolling Interest

Noncontrolling interest on the Consolidated Statements of Financial Position consists of capital contributed by WGBH and PBS adjusted by net loss and after reductions for distributed capital. Net loss is allocated as defined in the amended NPM limited liability company agreement. Future liquidations, if any, are proportionate to the extent of either WGBH's or PBS' positive capital balances.

The following table presents a roll-forward of noncontrolling interest for 2024 and 2023:

	WGBH	PBS	Total
October 1, 2022, balance	\$ 622,522	\$ 581,380	\$ 1,203,902
Plus: Share of NPM net loss for the year ended September 30, 2023	(125,600)	(69,778)	(195,378)
Minus: Distribution to members in 2023	(38,700)	(21,500)	(60,200)
Plus (Minus): Redistribution to agree to NPM 2023 Statements of Members' Capital	2	(2)	—
September 30, 2023, balance	458,224	490,100	948,324
Minus: Share of NPM net loss for the year ended September 30, 2024 ⁹	(97,049)	(53,916)	(150,965)
September 30, 2024, balance	\$ 361,175	\$ 436,184	\$ 797,359

Note 14—Related Party Transactions

During 2024 and 2023, NPR Inc. received contributions from the NPR Inc. Board and Foundation Board members totaling \$1,004,545 and \$532,795, respectively. These amounts do not include contributions received because NPR Inc. Board and Foundation Board members recommend one or more distributions by a donor-advised fund, private foundation, or similar entity in lieu of direct donor payment.

NPM conducts activities on behalf of and with WGBH. During 2024 and 2023, the percentage of NPM's gross billings placed with WGBH totaled two percent. As of September 30, 2024 and 2023, the percentage of NPM's accounts payable owed to WGBH was 0.5 percent and two percent, respectively. WGBH is a member of the PMI Network (see discussion in Note 3(A)).

Note 15—Liquidity and Availability

The following reflects NPR's financial assets as of the Consolidated Statements of Financial Position dates, reduced by amounts not available for general use because of contractual or donor-imposed restrictions within one year of the Consolidated Statements of Financial Position dates.

⁹ There were no distributions to Noncontrolling interest in 2024.

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 15—Liquidity and Availability (Continued)

<i>September 30,</i>	2024	2023
Total consolidated assets	\$ 818,606,640	\$ 771,776,128
Minus: Nonfinancial assets		
Property and equipment, net	(189,208,421)	(193,754,773)
Operating lease right-of-use assets	(10,988,280)	(8,389,744)
Prepaid expenses and other assets	(7,471,406)	(9,446,187)
Goodwill	—	(182,301)
Financial assets	610,938,533	560,003,123
Minus: Financial assets unavailable for general expenditures within one year, due to:		
Contractual or donor-imposed restrictions:		
Restricted by donor with time or purpose restrictions	(25,464,652)	(21,659,213)
Conditional contribution refundable advances	(398,172)	(1,416,564)
Subject to NPR's distribution policy, appropriation, and satisfaction of donor restrictions	(346,787,661)	(320,432,316)
Subject to when a specified event occurs—Charitable gift annuities assets	(1,760,197)	(1,350,028)
Restricted cash	(2,976,071)	(3,024,822)
Employee health claims contractual funding obligation	(8,272,569)	(7,907,675)
Funds designated for the NPR Network	(1,604,511)	(1,264,300)
Other	(797,815)	(948,780)
Board designations:		
PRSS activities	(8,790,277)	(8,295,306)
Amounts constituting liquidity reserves	(88,159,008)	(81,182,488)
Financial assets available to meet general expenditure cash needs within one year	\$ 125,927,600	\$ 112,521,631

NPR is supported by restricted contributions that require resources to be used in a particular manner or in a future period. NPR must maintain sufficient resources to meet its responsibilities to its donors. Thus, financial assets may not be available for general expenditures within one year. However, amounts already appropriated from donor-restricted endowment or board-controlled accounts were not subtracted as unavailable.

As part of NPR's liquidity management, NPR has a policy to structure its financial assets to be available as general expenditures, liabilities, and other obligations come due, which permits management to invest cash exceeding daily requirements in short-term investments. With the concurrence of the NPR Inc. Board and Foundation Board, NPR may occasionally add a portion of any operating surplus to its liquidity reserves.

Although the liquidity analysis excludes board-designated amounts set aside for long-term investing, those resources could be used to support general expenditures after action by the NPR Inc. Board and Foundation Board. Furthermore, in the event of an unanticipated liquidity need, NPR Inc. could draw upon a line of credit totaling \$50 million (see Note 7(B)).

National Public Radio, Inc. and Subsidiaries

Notes to Consolidated Financial Statements

Note 16—Nonrecurring Fair Value Measurements

NPR's financial instruments that are not measured at fair value on a recurring basis as of September 30, 2024 and 2023, consisted of the following: accounts and pledges receivable; charitable gift annuities investments (included in "Prepaid expenses and other assets" in the Consolidated Statements of Financial Position); accounts payable and accrued expenses; accrued compensation, benefits, and taxes; acquired programming obligations; accrued interest payable; and other liabilities.

The fair value of the following approximates the carrying amount due to the standard terms and relatively short maturity of the financial instruments: accounts receivable; charitable gift annuities investments; accounts payable and accrued expenses; accrued compensation, benefits, and taxes; acquired programming obligations; accrued interest payable; and other liabilities. The carrying amount represents the amount at which the financial instrument is recorded on NPR's books.

The fair value is the estimated amount at which an instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following tables present the carrying amounts and the estimated fair values of NPR's pledges receivables, which are considered Level 2 assets in the fair value hierarchy:

<i>September 30,</i>	2024		2023	
Carrying amount (gross pledges receivable less discount to present value)	\$	18,865,592	\$	12,772,718
Fair value	\$	18,740,766	\$	13,190,145

The fair value of pledges to be received within one year approximates the carrying amount due to the relatively short maturity of these financial instruments. Receivables for pledges to be received after one year are initially recorded using the present value of future cash flows. Receivables are then discounted using risk-free rates that approximate U.S. Treasury borrowing rates at the time of the gift for the respective contribution periods. The estimated fair value of the pledges to be received after one year reflects the present value of the future cash flows using risk-free rates that approximate U.S. Treasury borrowing rates at the end of fiscal years 2024 and 2023 for the respective remaining pledge payment period.

Supplementary Information

National Public Radio, Inc. (Parent Company Only)

Supplemental Schedules of Financial Position

September 30,	2024	2023
Assets		
Cash and cash equivalents	\$ 16,702,267	\$ 18,206,717
Restricted cash	2,811,430	2,860,197
Accounts receivable, net	37,014,824	35,647,177
Pledges receivable, net	18,812,962	12,720,458
Investments	124,618,512	107,700,997
Property and equipment, net	188,756,404	193,248,770
Operating lease right-of-use assets	7,715,433	4,734,803
Prepaid expenses and other assets	7,392,859	9,310,423
Investment in NPR Asset Holding Company, Inc.	3,749,850	4,085,591
Total assets	\$ 407,574,541	\$ 388,515,133
Liabilities and Net Assets		
Liabilities		
Accounts payable and accrued expenses	\$ 21,064,301	\$ 13,773,482
Accrued compensation, benefits, and payroll taxes	18,860,882	19,576,857
Acquired programming obligations	3,298,743	2,618,997
Deferred revenue	21,153,931	22,534,666
Due to subsidiaries	2,532,475	3,265,535
Accrued interest payable	2,711,717	2,760,952
Other liabilities	2,993,079	2,552,997
Conditional contribution refundable advances	398,172	1,416,564
Operating lease liabilities	8,964,187	6,165,416
Bonds payable	175,060,000	180,820,000
Total liabilities	257,037,487	255,485,466
Net assets		
Net assets without donor restrictions	125,013,498	112,041,160
Net assets with donor restrictions	25,523,556	20,988,507
Total net assets	150,537,054	133,029,667
Total liabilities and net assets	\$ 407,574,541	\$ 388,515,133

See independent auditor's report under "Other Matter: Supplementary Information."

National Public Radio, Inc. (Parent Company Only)

Supplemental Schedules of Activities

<i>Years ended September 30,</i>	2024	2023
Changes in net assets without donor restrictions		
Operating revenues		
Core and other programming fees	\$ 99,334,706	\$ 96,172,351
Corporate sponsorships	101,830,458	101,049,318
Contributions:		
Contributions of cash and other financial assets ¹⁰	40,499,001	27,841,016
Net assets released from donor restrictions	11,138,268	14,079,356
Total contributions	51,637,269	41,920,372
 NPR Foundation board-designated and endowment support distributions	 24,306,065	 25,527,779
Satellite interconnection and distribution	15,970,780	13,966,618
Use of current year net investment returns for operations	5,135,006	6,588,643
Contributions of nonfinancial assets	2,152,551	1,945,282
Commercial programming distribution	9,888,436	11,542,265
Licensing of intellectual property	6,152,824	4,938,749
Event and show ticket sales	3,499,979	4,013,911
Other	2,777,411	4,094,791
Total operating revenues	322,685,485	311,760,079
 Operating expenses		
Program services:		
Content production and distribution	156,537,266	160,983,923
Satellite interconnection and distribution	17,661,912	17,527,566
Content support and other activities	37,898,910	35,330,328
Total program services	212,098,088	213,841,817
 Support services:		
General and administrative	84,128,109	79,096,959
Fundraising	6,608,462	6,242,186
Total support services	90,736,571	85,339,145
Total operating expenses before reduction in workforce	302,834,659	299,180,962
Reduction in workforce	38,149	5,414,489
Total operating expenses	302,872,808	304,595,451
Operating surplus	\$ 19,812,677	\$ 7,164,628

Continued on the next page

¹⁰ In 2024 and 2023, NPR Inc. recorded "Contributions of cash and other financial assets" revenue in net assets without donor restrictions from grants awarded by the following federal agencies totaling:

<i>Years ended September 30,</i>	2024	2023
National Endowment for the Arts	\$ 105,000	\$ 40,000

National Public Radio, Inc. (Parent Company Only)

Supplemental Schedules of Activities (Continued)

<i>Years ended September 30,</i>	2024	2023
Changes in net assets without donor restrictions (Continued)		
Nonoperating activities		
Return on investments, net	\$ 8,478,471	\$ 2,877,126
Change in investment in subsidiary	(335,741)	(291,798)
Interest expense	(5,475,587)	(5,564,719)
Depreciation and amortization	(8,161,635)	(8,398,488)
Other, net	(1,345,847)	(553,927)
Total nonoperating activities	(6,840,339)	(11,931,806)
Increase (decrease) in net assets without donor restrictions	12,972,338	(4,767,178)
Changes in net assets with donor restrictions		
Contributions of cash and other financial assets	15,320,676	10,451,055
Split-interest agreement contributions	98,275	297,710
Return on investments, net	254,366	168,644
Net assets released from donor restrictions	(11,138,268)	(14,079,356)
Increase (decrease) in net assets with donor restrictions	4,535,049	(3,161,947)
Change in net assets	17,507,387	(7,929,125)
Net assets, beginning of year	133,029,667	140,958,792
Net assets, end of year	\$ 150,537,054	\$ 133,029,667

See independent auditor's report under "Other Matter: Supplementary Information."

NPR Foundation

Supplemental Schedules of Financial Position

September 30,	2024	2023
Assets		
Cash and cash equivalents	\$ 3,284,202	\$ 3,689,509
Pledges receivable, net	52,630	52,260
Investments	398,687,803	370,239,600
Due from NPR Inc.	1,718,447	3,518,333
Total assets	\$ 403,743,082	\$ 377,499,702
Liabilities and Net Assets		
Liabilities	\$ 83,859	\$ 89,846
Net assets		
Net assets without donor restrictions	30,176,275	28,685,322
Net assets with donor restrictions	373,482,948	348,724,534
Total net assets	403,659,223	377,409,856
Total liabilities and net assets	\$ 403,743,082	\$ 377,499,702

See independent auditor's report under "Other Matter: Supplementary Information."

NPR Foundation

Supplemental Schedules of Activities

<i>Years ended September 30,</i>	2024	2023
Changes in net assets without donor restrictions		
Revenues, gains, and other support		
Contributions of cash and other financial assets	\$ 4,321,075	\$ 5,627,480
Return on investments, net	3,812,257	2,883,037
Net assets released from donor restrictions	23,291,397	24,866,201
Total revenues, gains, and other support	31,424,729	33,376,718
Expenses		
Transferred to NPR Inc.:		
Annual support	5,069,806	6,850,507
Board-designated and endowment support	24,306,065	25,527,779
Compensation, benefits, and payroll taxes	209,167	90,389
Miscellaneous contracted services	158,503	286,446
Connectivity, supplies, postage, and other office expenses	2,375	3,279
Facility lease, utilities, taxes, and related expenses	17,850	6,465
Marketing	1,063	3,217
Travel, conferences, meetings, and events	107,202	65,251
Other	61,745	30,875
Total expenses	29,933,776	32,864,208
Increase in net assets without donor restrictions	1,490,953	512,510
Changes in net assets with donor restrictions		
Contributions of cash and other financial assets	2,922,093	518,857
Return on investments, net	45,127,718	32,499,755
Net assets released from donor restrictions	(23,291,397)	(24,866,201)
Increase in net assets with donor restrictions	24,758,414	8,152,411
Change in net assets	26,249,367	8,664,921
Net assets, beginning of year	377,409,856	368,744,935
Net assets, end of year	\$ 403,659,223	\$ 377,409,856

See independent auditor's report under "Other Matter: Supplementary Information."